CONSTELLATION ASSET MANAGEMENT | rbi restaurant brands international

ARC Partners

Constellation Challenge 2026



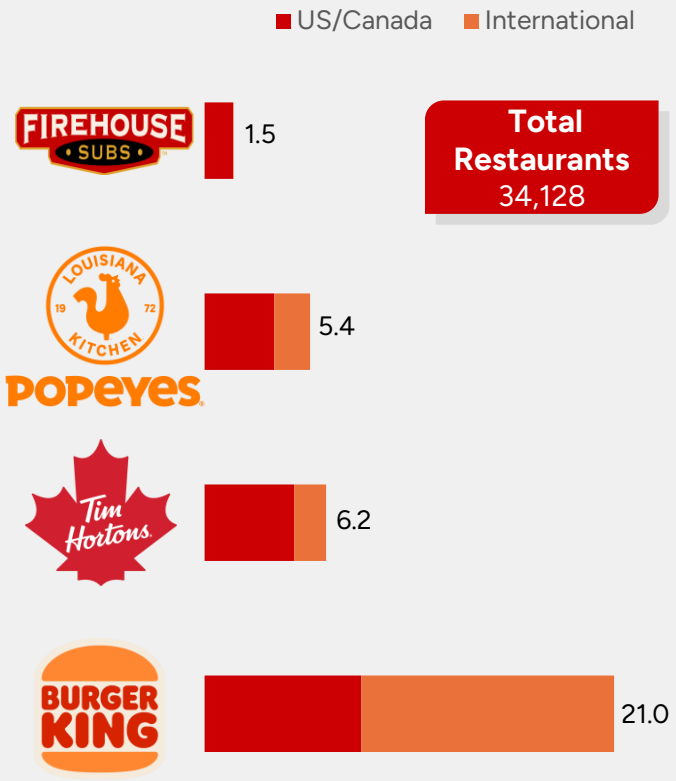
Antonio Gama | Rodrigo Catap

Driving-through RBI

RBI operates across four quick-service segments, leveraging globally respected brands and a terrific scale

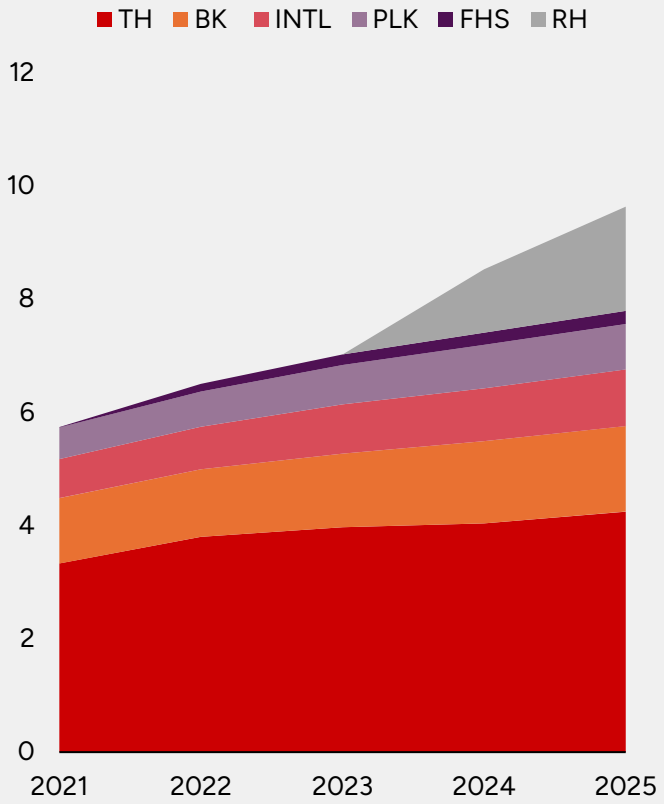
Powerhouse: A global footprint with sales in over 100 countries

Number of restaurants per operation (th)



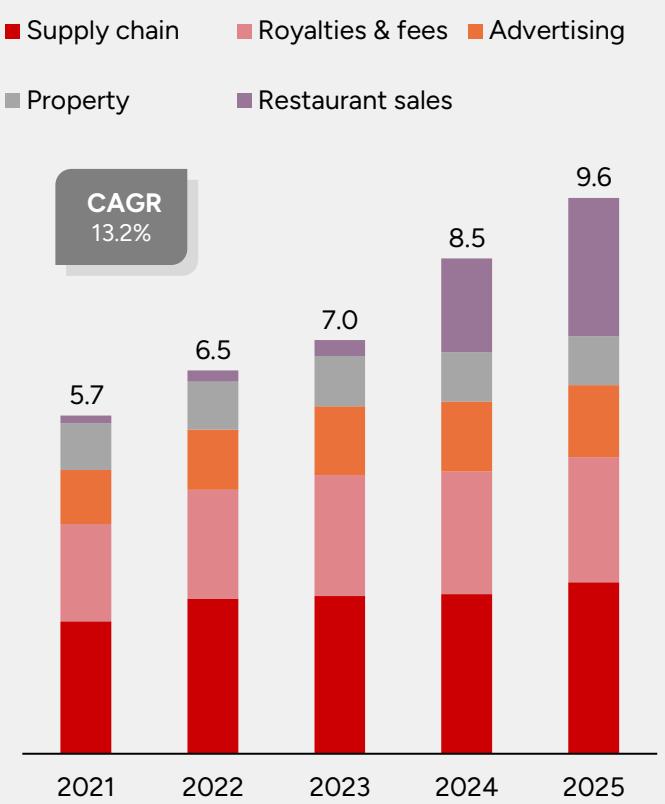
Expanding a global QSR portfolio powered by iconic brands

Revenue breakdown by operation ($ bn)



While managing to have a diversified source of revenue

Revenue breakdown by sources ($ bn)



Sources: Company's Filings



BUY!

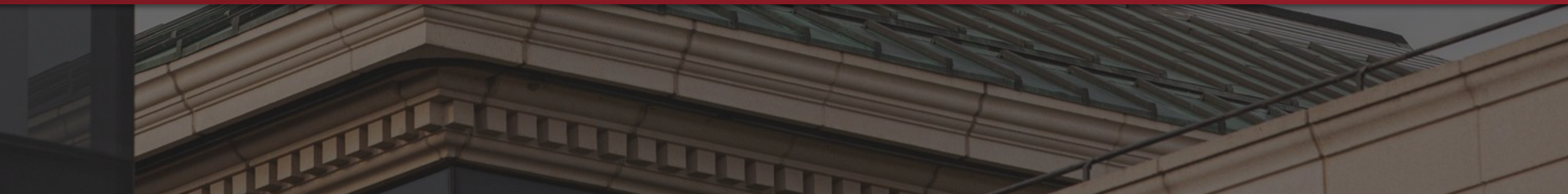
Current Price
73.75 USD

34.9%
UPSIDE

Target Price
99.48 USD

$Ke_{\text{Long term}}$
7.1%

IRR (5-Year)
14.1%



Investment Thesis

A house of brands: Competitive advantages

Differentiated operating model supports a best-in-class profile

Management: Mastering franchises

Management capital allocation unlocks better returns

Bright future: Growth avenues

Underpenetrated markets drive growth opportunities

Investment Thesis



A house of brands: Competitive advantages

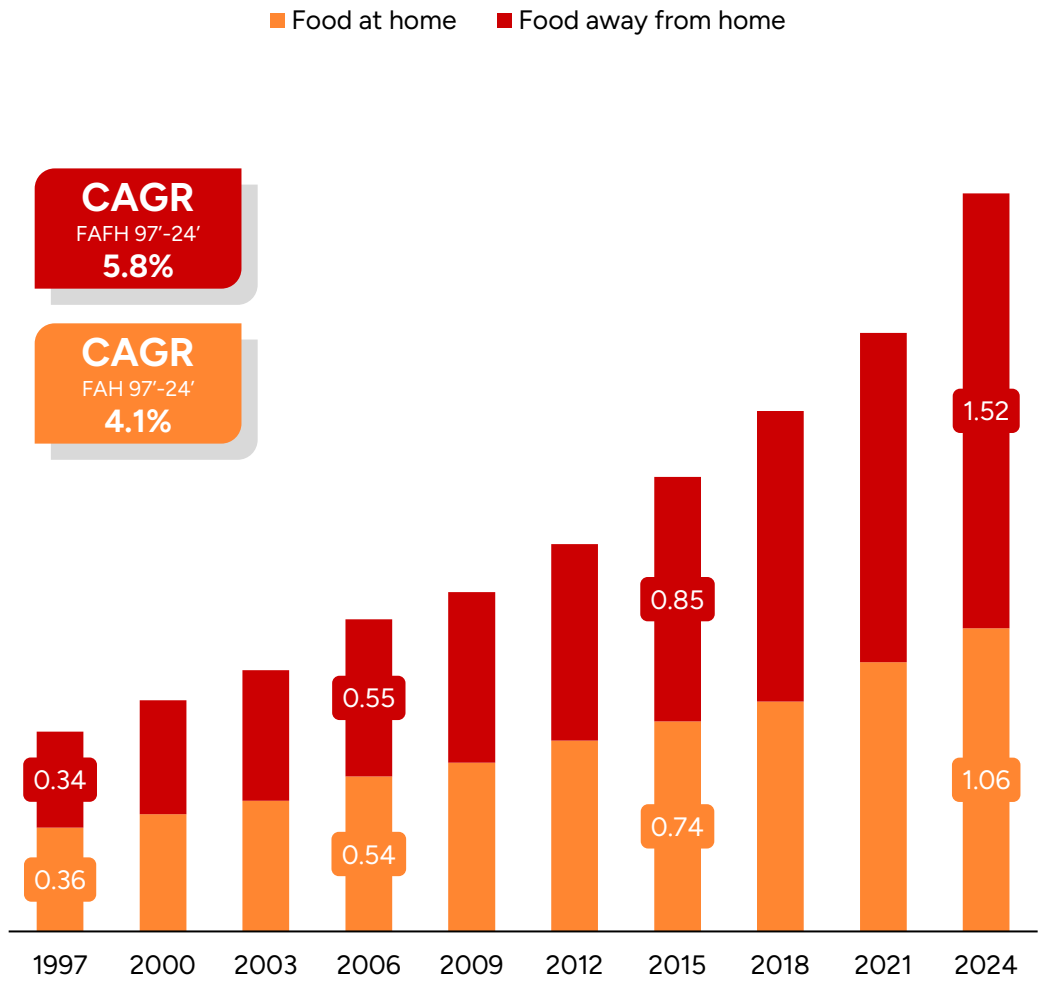
Differentiated operating model supports a best-in-class profile

Food service industry: Eating is not discretionary

While food consumption is resilient, economic crisis pressures the food-away-from-home (FAFH) industry

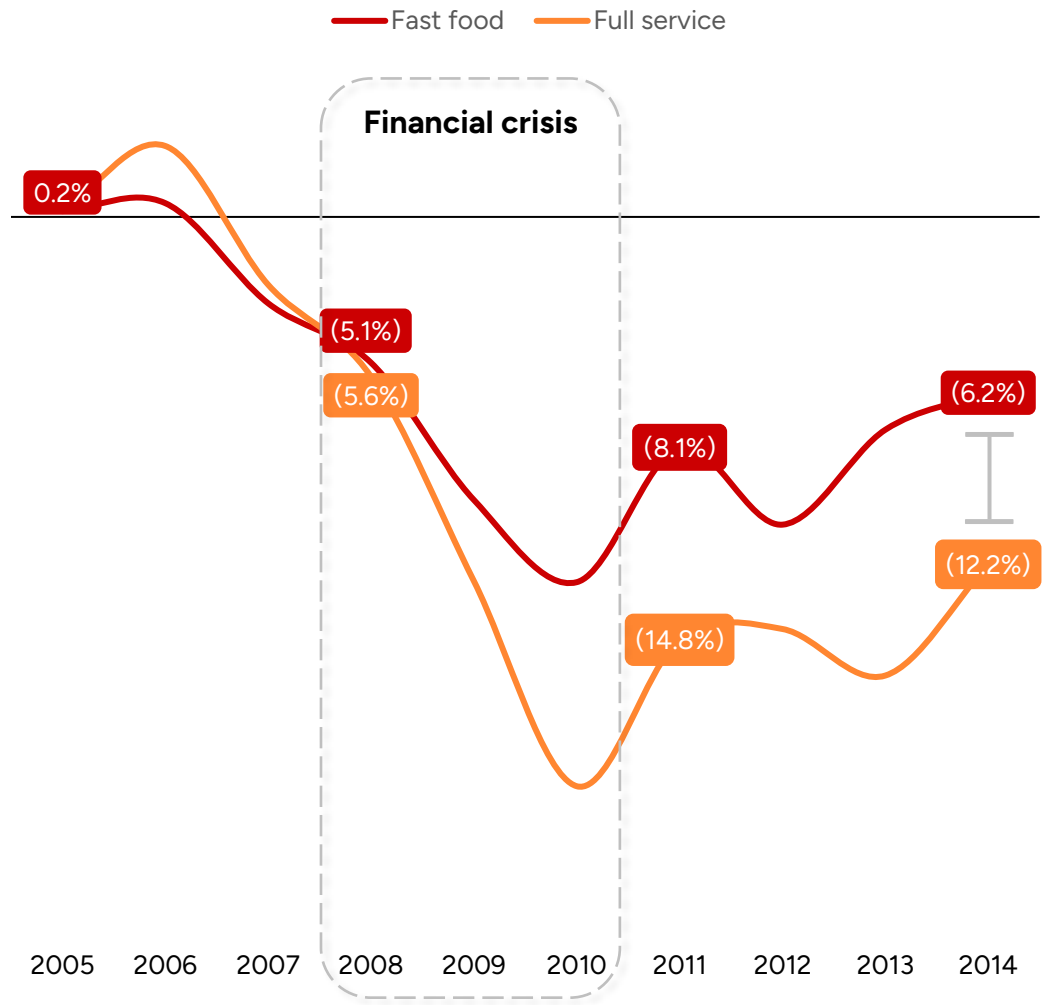
Beyond food consumption being structurally essential

Food market expenditures in the US ($ tn)



QSR remains more resilient amid away from home options

Accumulated change in food expenditures adjusted for inflation



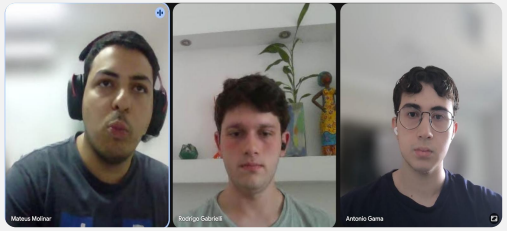
Sources: USDA

Franchise model: The way to overcome adversities

Despite resilience, the industry faces operational challenges overcome by the franchise model

Operating restaurants is a brutal battle where many fail

Restaurant industry competitive dynamics

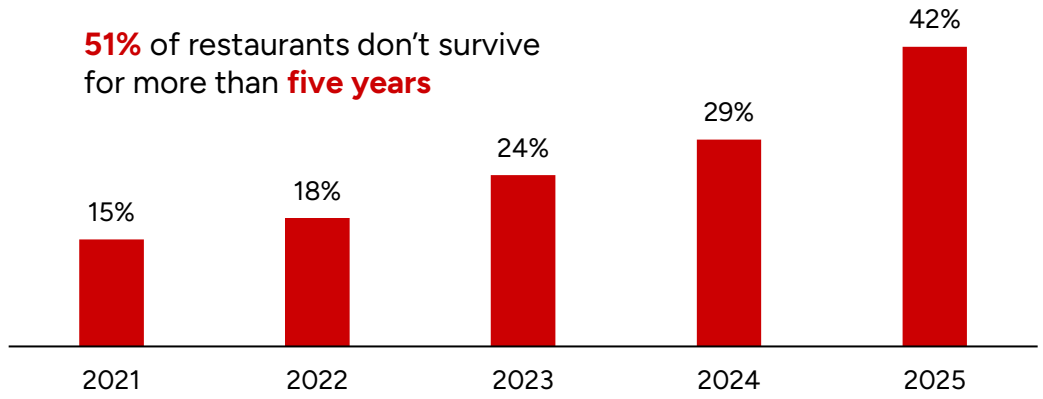


Mateus Cury, Partner and former CFO at DeBetti

8 years running a restaurant

"It is a high-pressure sector with compressed margins, characterized by **intense competition** and the need for **operational efficiency** to run"

Percentage of restaurants with net loss in the USA



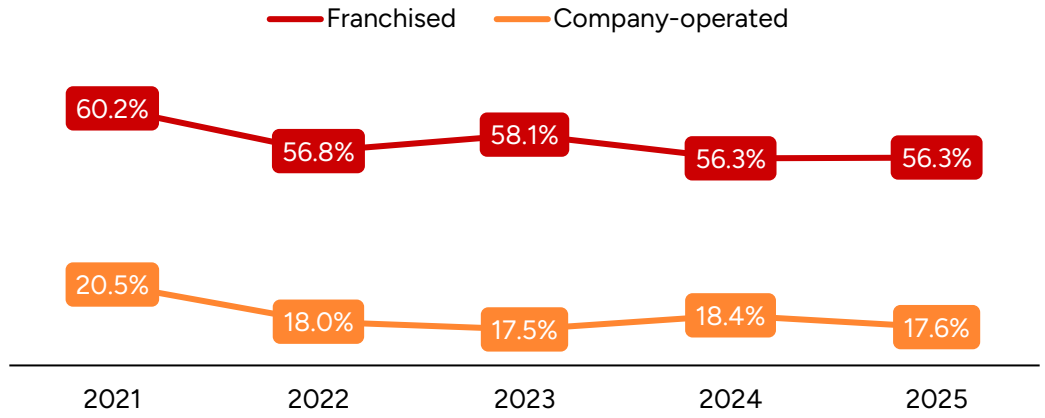
Leading many companies to adopt the franchise model

Franchisor and franchisee relationship scheme



Achieving recurring income with minimal operational costs

RBI operating margin by restaurant type



Sources: Company's filings, NRA

Mitigating risks and operational capital intensity

With a strong top-line and asset-light model, franchising enables scalability without significant operational risk

3G Capital initiated aggressive refranchising at Burger King

3G Group scheme

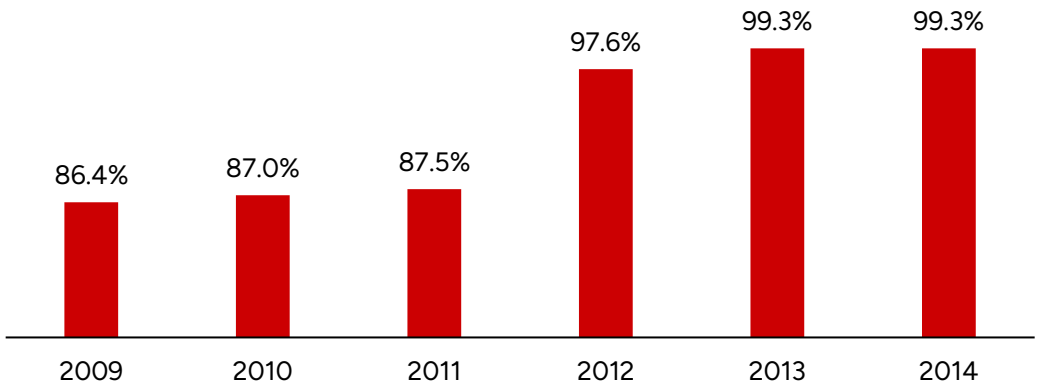


"Burger King was a **mismanaged gem**: a powerful global brand with strong consumer recognition **but weighed down by inefficient operations** and an out-of-control cost structure"

Sonho grande, Cristiane Correa

3G Capital – RBI Founders

Percentage of franchised stores in Burger King

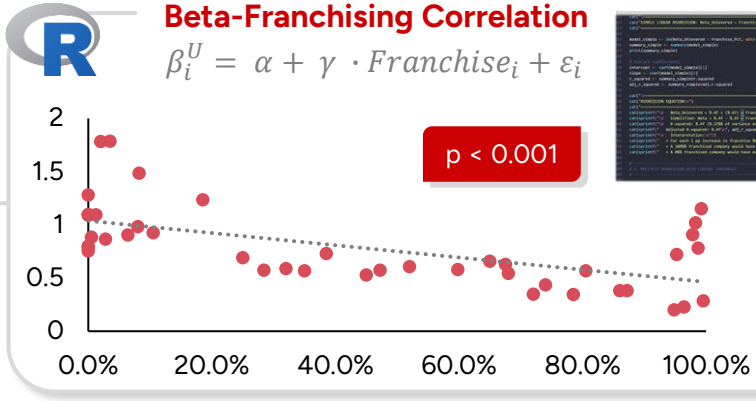


Significantly mitigating the intrinsic risk of unit failure

OLS Regression - QSR peers Unlevered Beta by Franchised Stores (%)

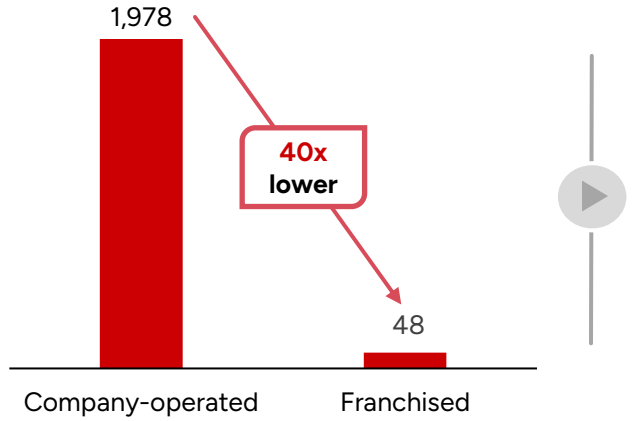
10pp **increase** in **Franchised** Stores

0.074 **reduction** in Unlevered **Beta**



Further enabling rapid network expansion with low capital

Burger King incremental investment to open a new restaurant ($ th)



The franchised model **demands** significantly **lower capital intensity**

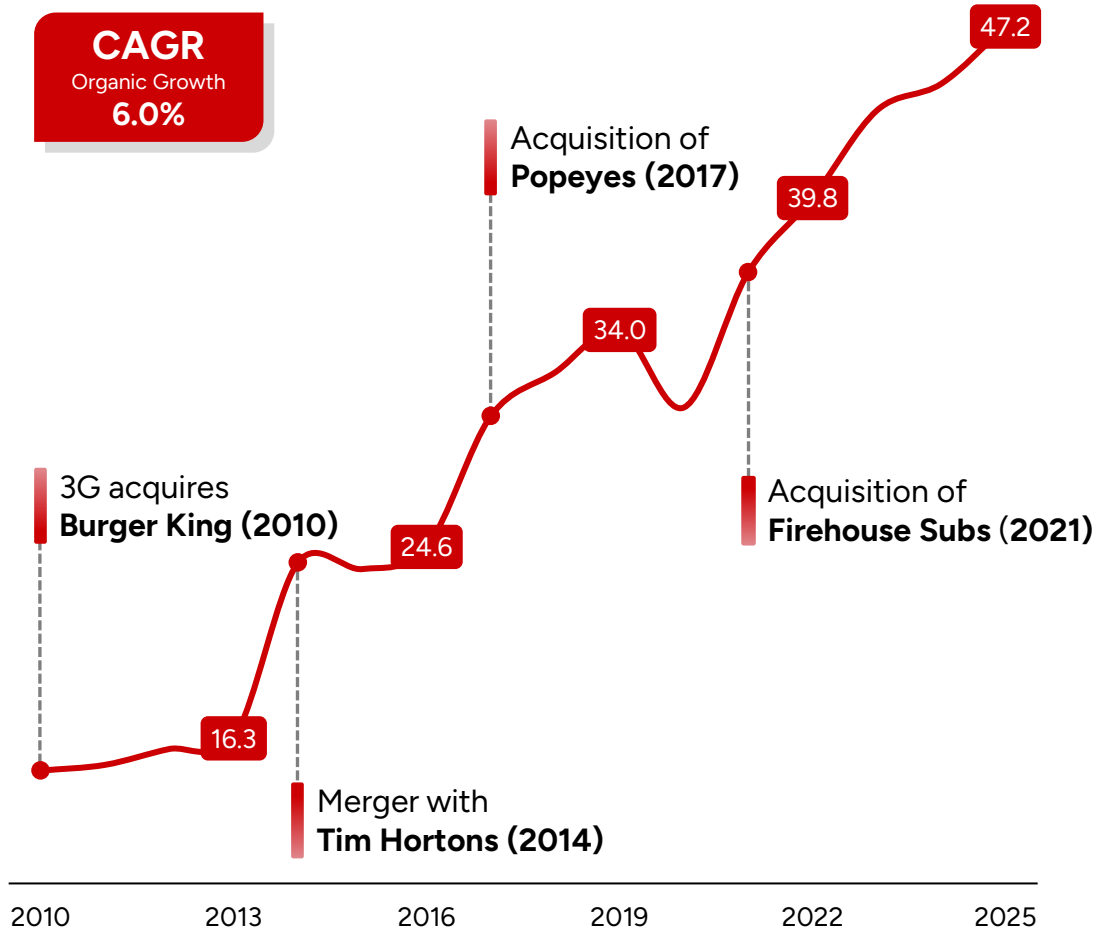
Sources: Company's filings, Franchise Disclosure Document, Bloomberg

A brand platform: RBI consolidating the portfolio

3G Capital's expertise was pivotal in acquiring new brands, driving growth and scaling across four segments

3G transformed RBI into a listed private equity company

RBI's acquisitions at system-wide sales growth ($ bn)



By making strategic acquisitions to build a house of brands

RBI brands' market share and key information

Home of the Whopper

*Unique **flame-grilling** technique and global brand awareness*
*Global mkt share: **4.2%***

Canada's cultural flagship

The **undisputed leader** in Canada, operating a fully vertically integrated business model
*Canada mkt share: **31.7%***

Louisiana marinated chicken

Nationwide success driven by a **pioneering** chicken sandwich launch
*USA mkt share: **9.0%***

Top-tier sandwich quality

A firefighter-founded brand with significant **expansion potential**
*USA mkt share: **2.8%***

Sources: Company's filings, QSR Magazine, Team Elaboration

Burger King: **brand power** built on massive scale

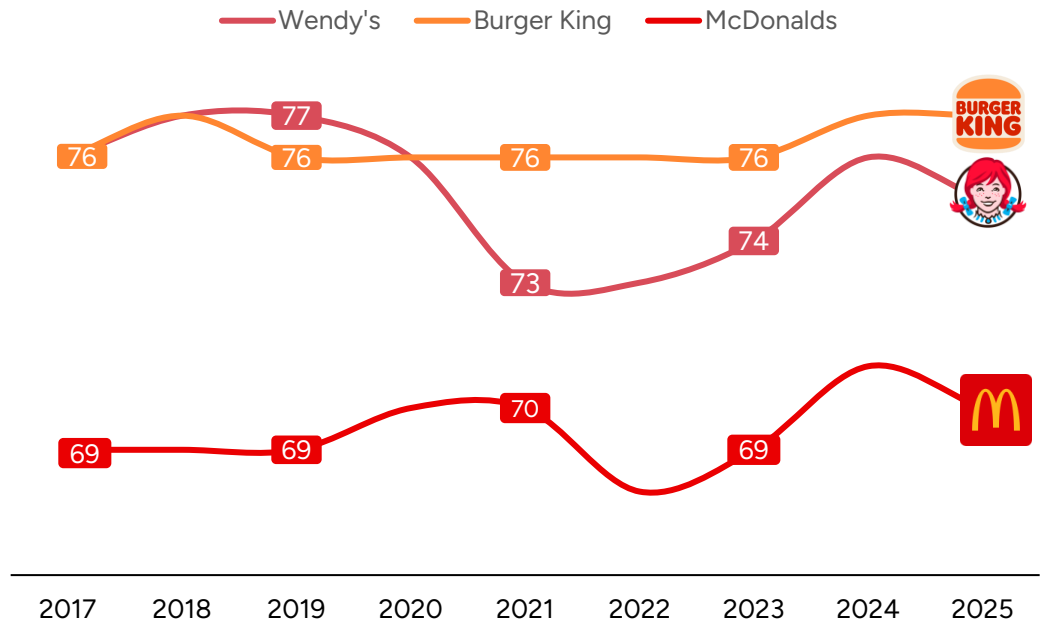
Global scale reinforces brand power, cementing a sustainable competitive advantage

How Burger King Excels in Branding?

Massive Scale + **Flame Grilling** + **Customization**

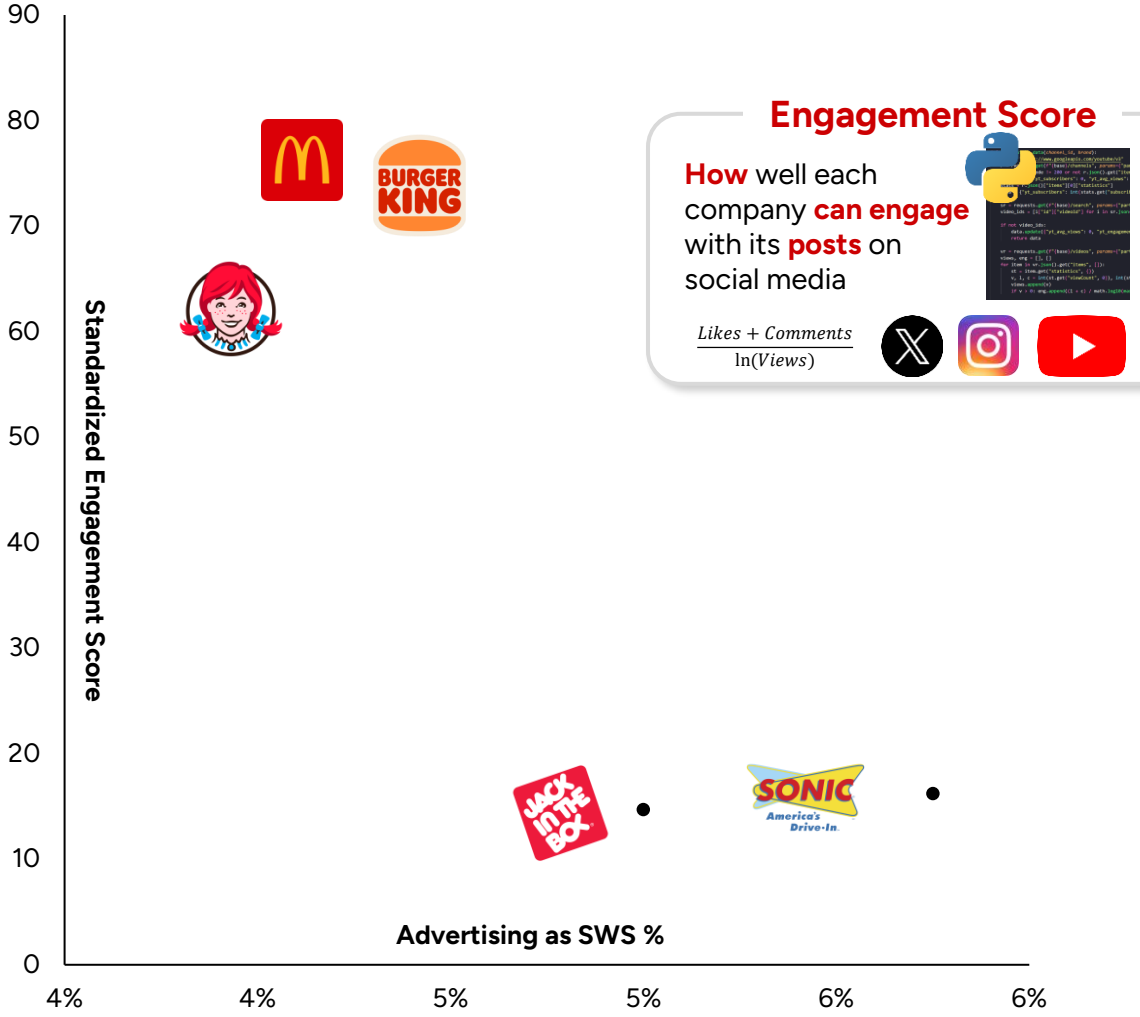
Brand awareness

American Customer Satisfaction Index by brand



Enabling the consolidation of a brand with global power

Normalized engagement score on advertising spending as SWS %



Engagement Score

How well each company **can engage** with its **posts** on social media

$$\frac{Likes + Comments}{\ln(Views)}$$

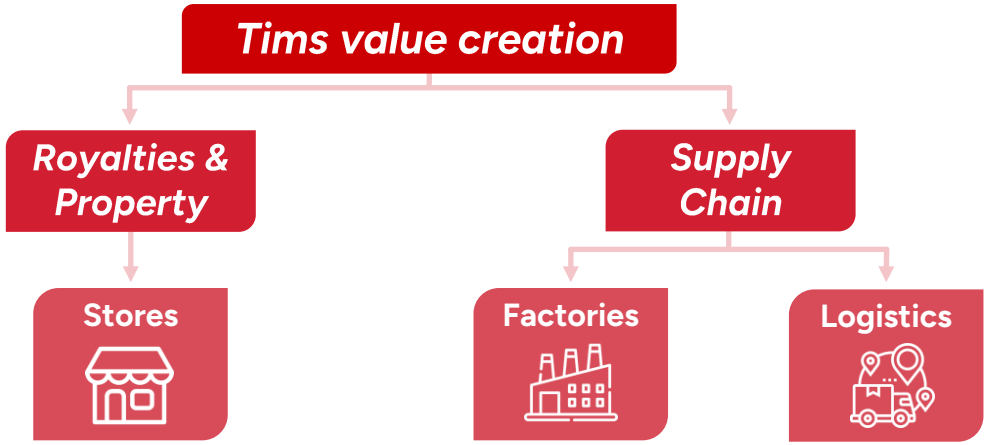
Sources: ACSI, Company's filings, Social Media API's, Team Elaboration

Tim Hortons: **15 years** to match vertical structure

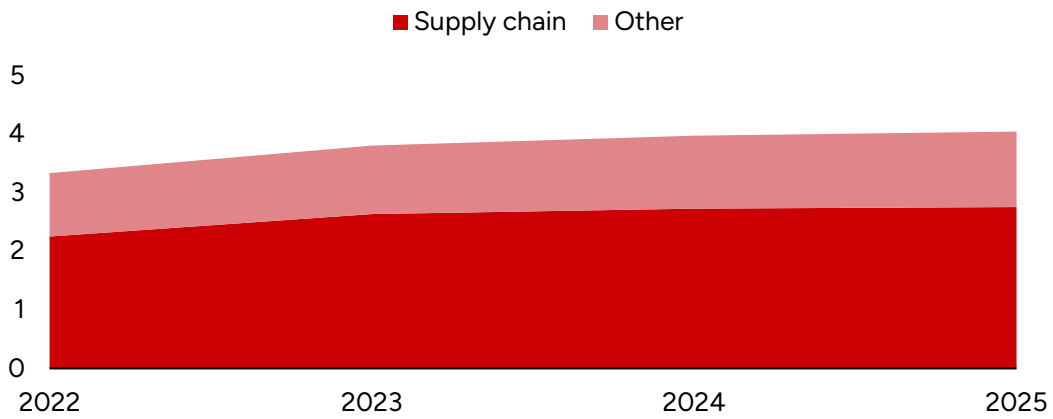
Unique vertical integration creates a competitive moat unattainable for smaller-scale peers

Tim Hortons' operations go all the way from factory to store

Tims' value creation scheme



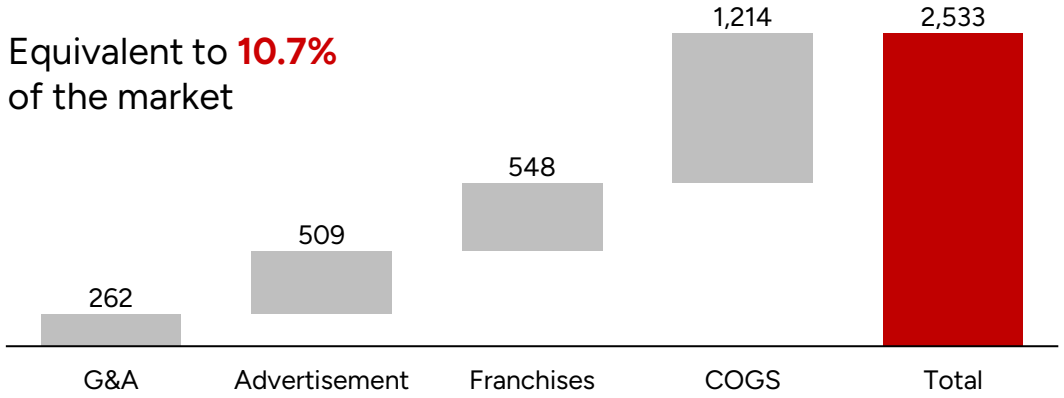
Tims' revenue breakdown ($ mn)



A substantial share is needed to cover the structure expenses

Total expenses to maintain a minimum national infrastructure ($ mn)

Equivalent to **10.7%** of the market



This results in a strong competitive moat for Tims

Tims' moat scheme

***10.7%** Minimum Viable Market Share* ÷ ***0.7%** Average Market Share Change*

15.3 Years to match a minimum verticalized structure

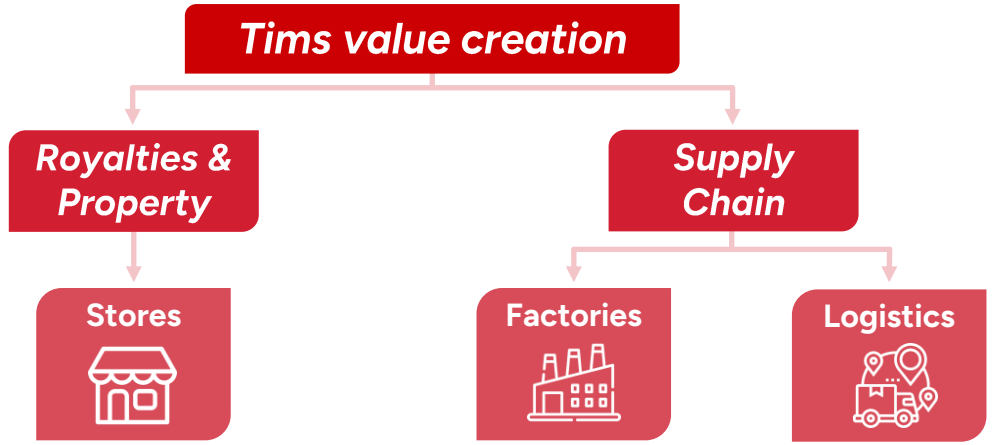
Sources: Company's Filings, Team Elaboration

Tim Hortons: Converting verticalization into a **moat**

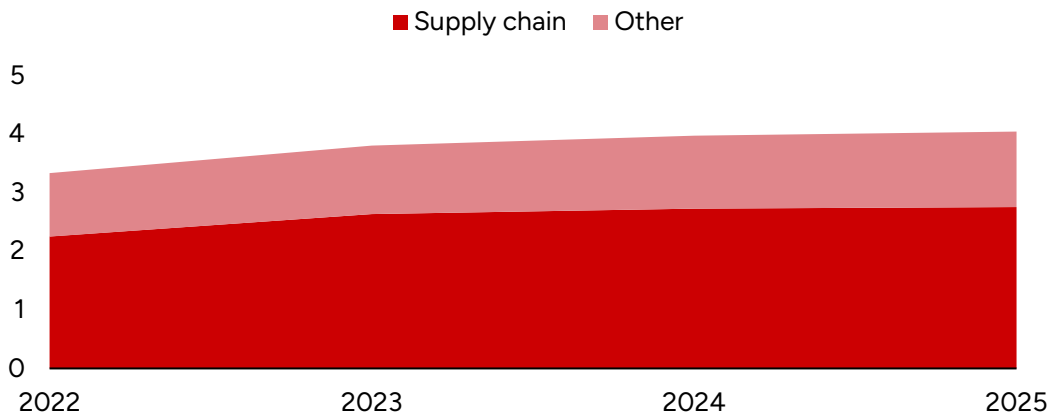
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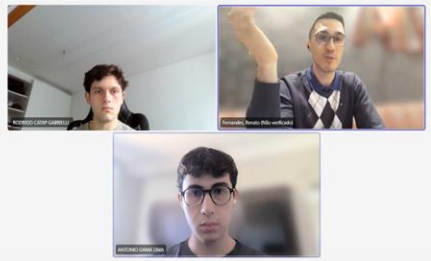


Tims' revenue breakdown ($ mn)



Leveraging the cost savings from economies of scale

Estimated Tim Hortons vs Starbucks levered payback period ($ th)



"Beyond quality control, the **verticalized model** cuts out the middleman, driving **lower costs** for the franchisee"

Renato Fernandes, Senior Manager, Finance – Tim Hortons

	Sbux	Tims
Operating Margin	14.5%	*18.0%*
Payback (years)	6.1	*4.6*

Unique at Scale

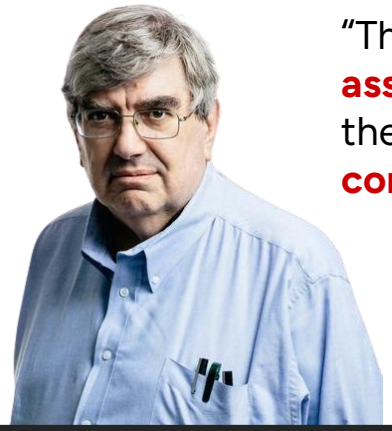
In addition to achieving a higher AUV, a verticalized model enables **wider margins** and fosters **better relationships** with franchisees

Sources: Company's Filings, Team Elaboration

Resulting in durable **competitive advantages**

Applying Greenwald's framework to validate RBI's durable advantages

Earnings Power Value



"The excess of **EPV over asset value** represents the value of current **competitive advantages**"

COLUMBIA UNIVERSITY

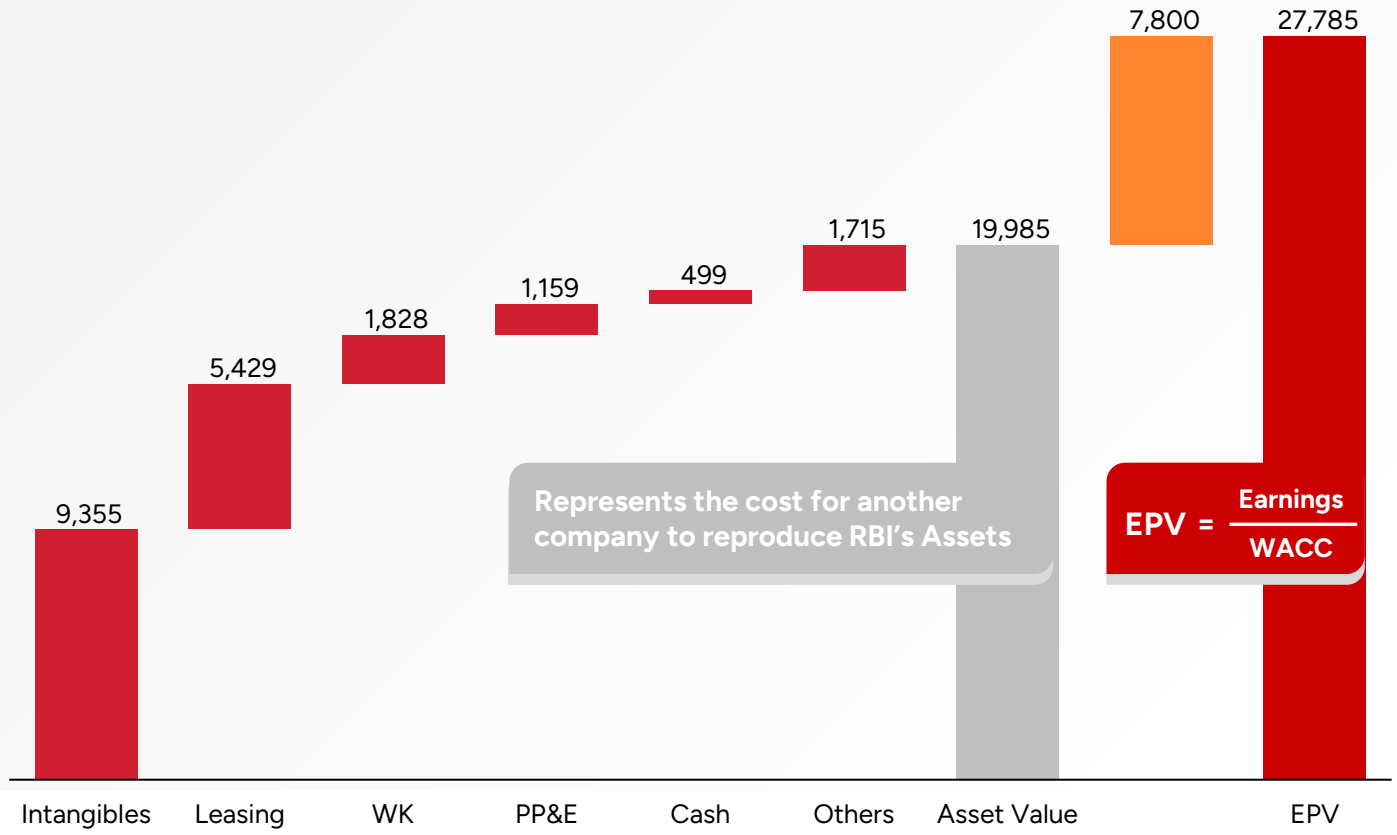
Teaching the valuation course for **25 years**

Bruce Greenwald – Professor at Columbia

- Intangibles: Cumulative marketing expenses since 2010
- Leasing: Current contracts adjusted by real-estate inflation
- PP&E: All restaurant, equipment and infrastructure reproduction costs

RBI's Earnings Power exceeding Asset Value: Proving the moat

RBI's Asset Value build-up vs EPV ($ mn)

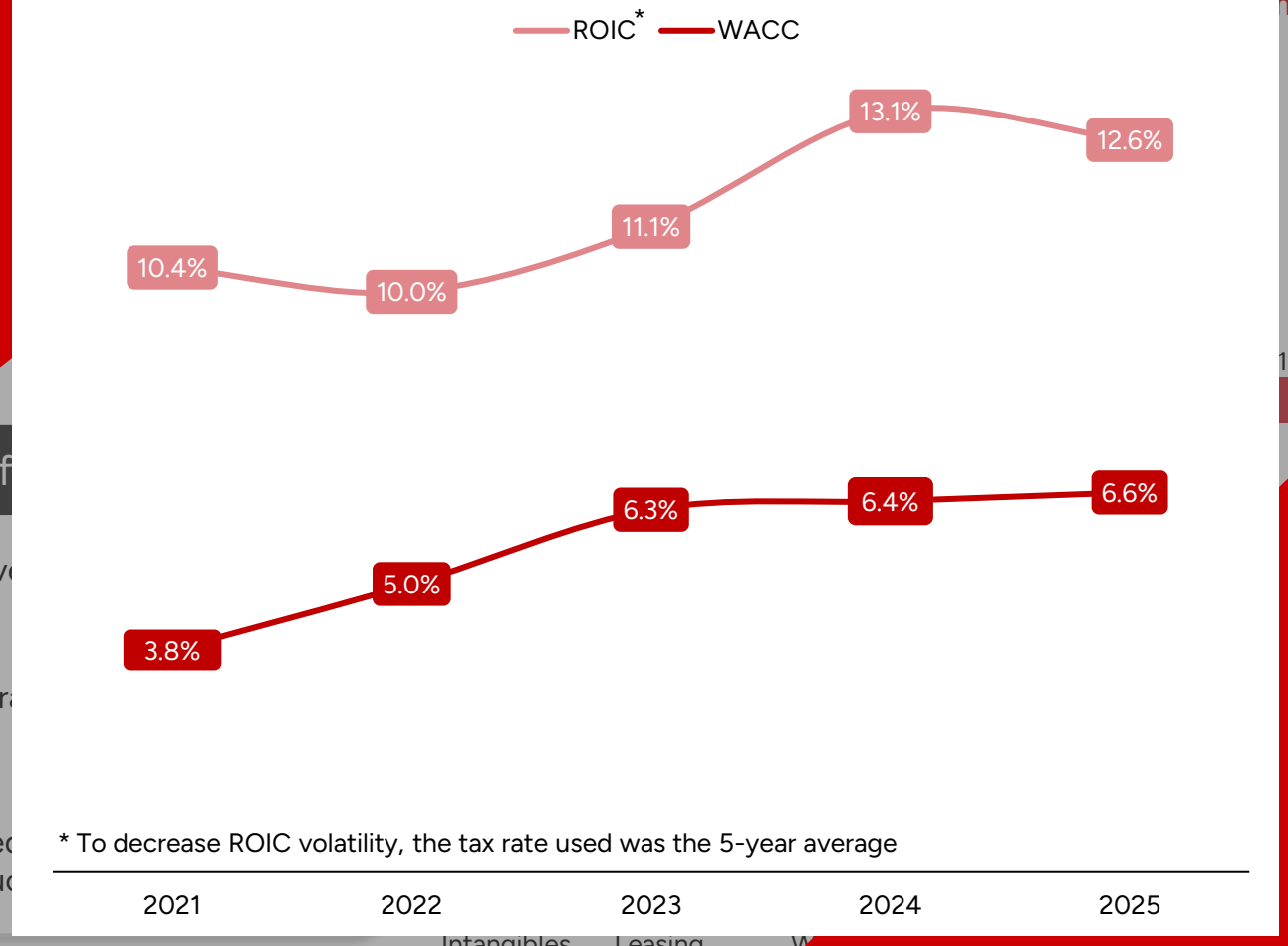


Sources: Team Elaboration, Competition Demystified

Resulting in durable **competitive advantages**

Applying Greenwald's framework to validate RBI's durable advantages

EPV > Asset Value = Value Creation



* To decrease ROIC volatility, the tax rate used was the 5-year average

Earnings Pow

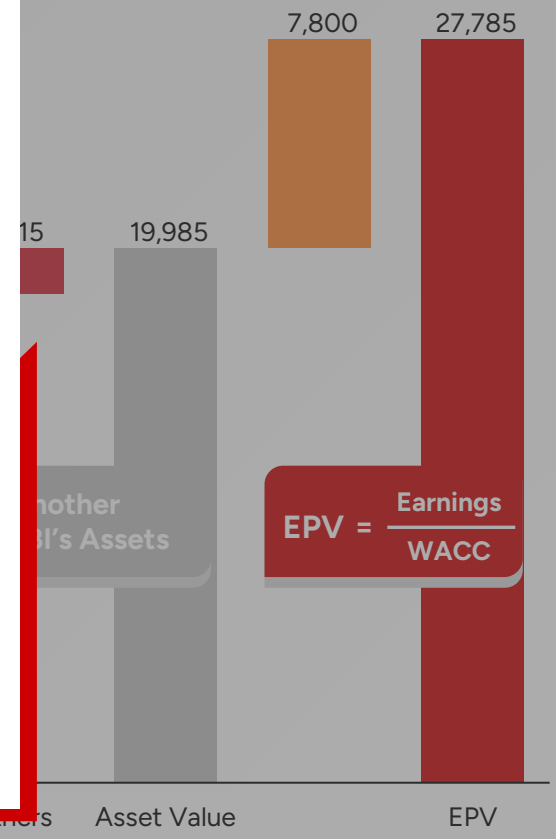


"The … asset… the va… comp…

Bruce Greenwald – Prof…

- Intangibles: Cumulative… since 2010
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Investment Thesis



Management: Mastering franchises

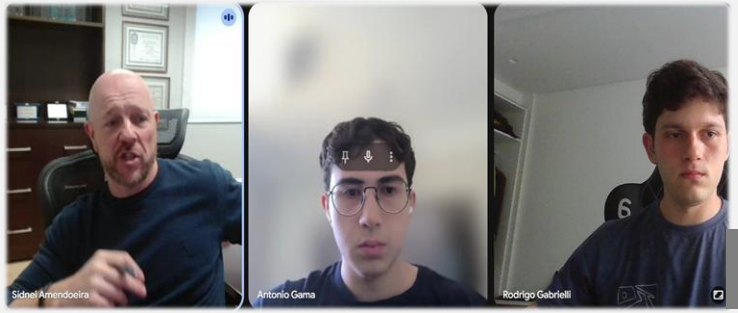
Management capital allocation unlocks better returns

The trade-off: structural **downsides** of franchising

Despite being a winning model, franchising faces the inherent challenge of lacking direct quality control

Franchise model may create misaligned incentives

Cost-cutting initiatives may compromise quality



- PhD from USP
- Former Director at ABF

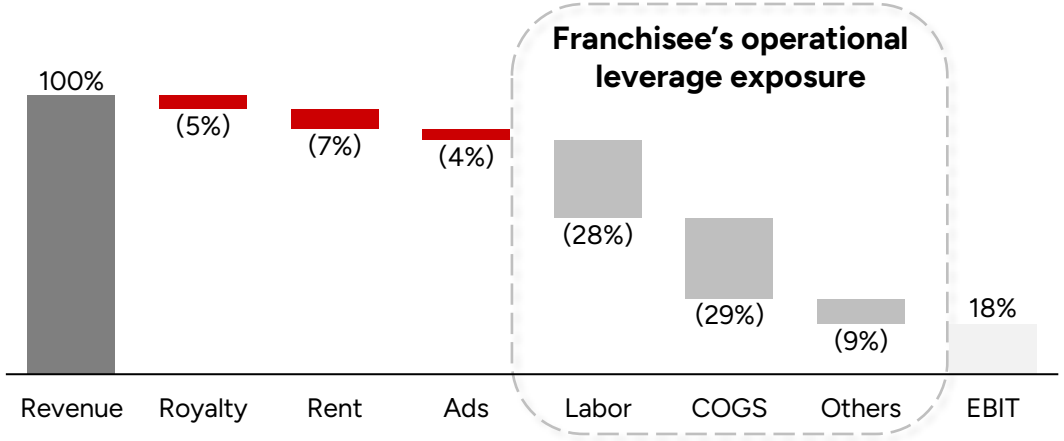
25 Years
In the Franchising Sector

"Franchise agreements often reflect **misaligned incentives**: franchisors prioritize long term brand equity, while franchisees may pursue aggressive cost-cutting that **risks service quality** and brand standards"

Sidnei Amendoeira, professor at FGV

As franchisees bear the full exposure to operating costs

Revenue and operating costs for an average RBI franchisee



Potentially leading to quality deterioration and brand erosion

Franchising trade-off scheme

Outsource operational costs and risk exposure

X

Restricted local control challenges **quality standards**

Sources: Company's filings, Team Elaboration

The trade-off: structural **downsides** of franchising

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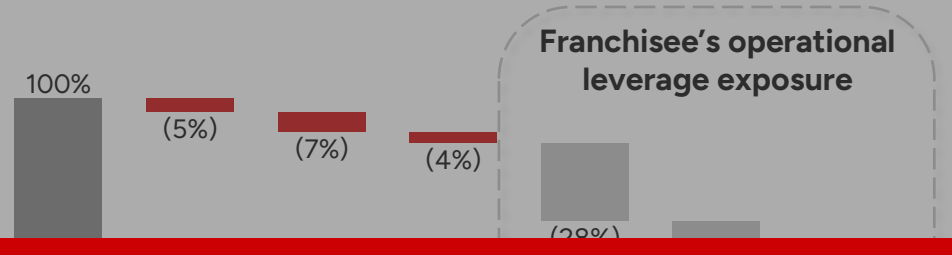
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Revenue and operating costs for an average RBI franchisee



Franchising trade-off scheme

Outsource operational costs and risk exposure

✕

Restricted local control challenges **quality standards**

But how does RBI solve this problem?

Sources: Company's filings, Team Elaboration

The Key: Active **support** to drive franchisee results

Following field research and interviews, we identified RBI's active role in providing support and standardization

The company has a strong culture of supporting franchisees

Franchisees' Calls Summary



We spoke to 4 RBI franchisees in the US to understand how the firm supports them and **keeps their franchises on track**

Company support starts before the store's opening

Pre-Opening	*Training Programs*	Ongoing Operations
Site approval, plans and on-site assistance	Certifications, BK University (36-hour training)	Marketing research, techniques and standards updates

Enabling strong performance even in international markets

Field research in Burger King, Popeyes and Firehouse kitchens



We visited **10 kitchens** and talked to **28 employees** to understand **how RBI supports direct operation**

I A **previous training** program is mandatory to all employees
Prep course **designed like a university** before starting operations

II Equipment and supplier **standardization** drive experience
Franchisees purchase all products from **approved suppliers**

III **Frequent visits** from RBI monitor quality and NPS levels
On average, RBI team visits the stores **7 times per year**

Sources: Team Elaboration

Management alignment secures franchisee upside

Executive incentives are strictly tied to store-level profitability, ensuring strategic execution and long term value

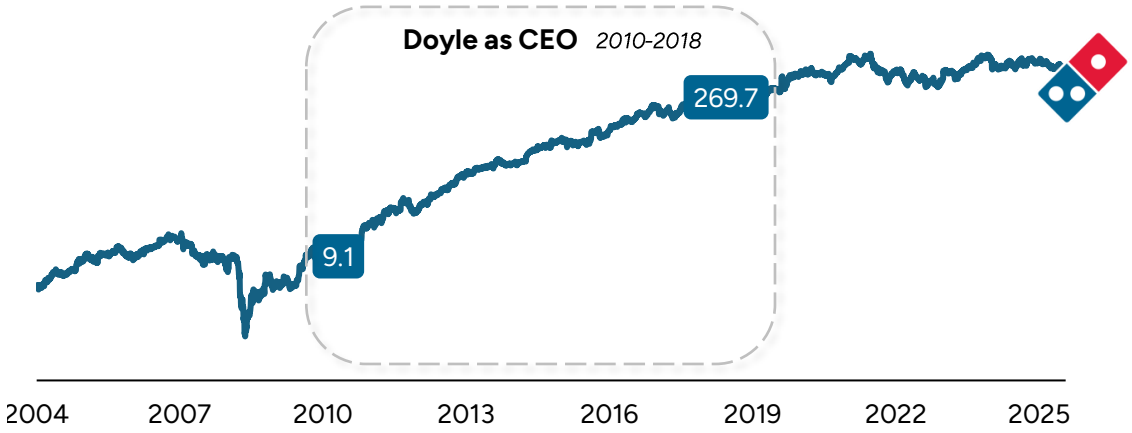
By hiring an experienced and aligned management...



"The **long term success** of a franchisor is a byproduct of the **profitability of its franchisees**"

Patrick Doyle – Chairman of RBI

Domino's share price ($) at Patrick Doyle's leadership (log scale)



...the company has enhanced the franchisee ecosystem

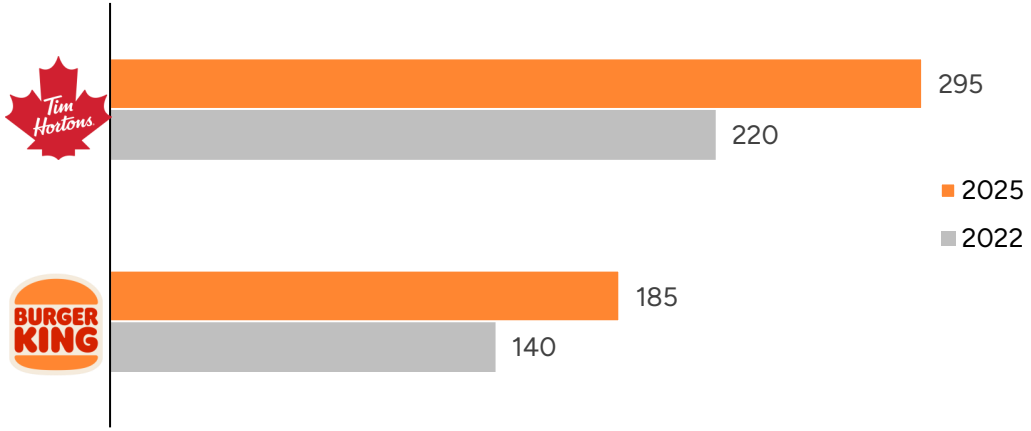


Long-standing experience at **RBI** since **2012**

Established **franchisee** profitability **bonus**

Josh Kobza – CEO of RBI

Franchisee profitability ($ th) change after new management



Sources: Company's filings

With robust **unit economics**, growing is the objective

Supported by RBI's ecosystem, Burger King franchisees drive operational efficiency and superior investment yields

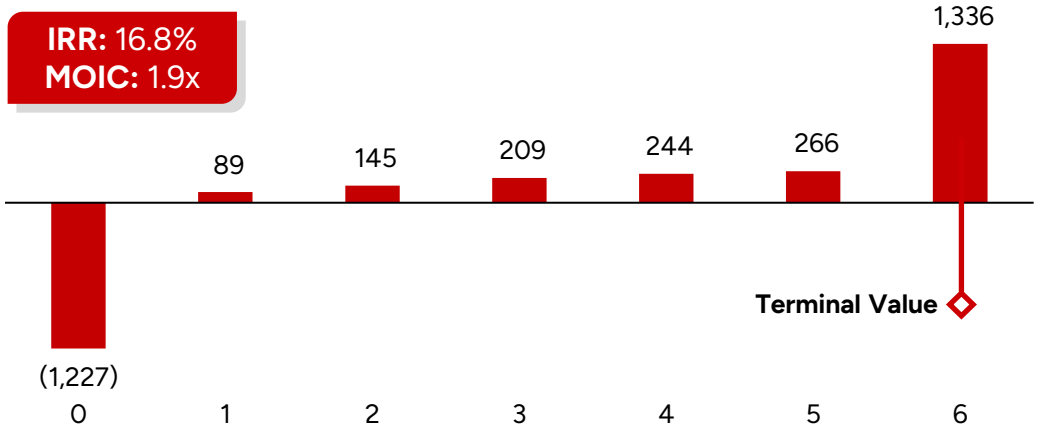
Even with high upfront capital intensity to start operations

Key assumptions of franchisee costs and operation metrics

- Total initial investment: **2.45 $ mn**
- Same Store Sales growth: **2%**
- Mature AUV: **1.65 $ mn**
- Maturation period: **3 years**
- Mature profit margin: **10.0%**
- Initial Capex: **50% debt**

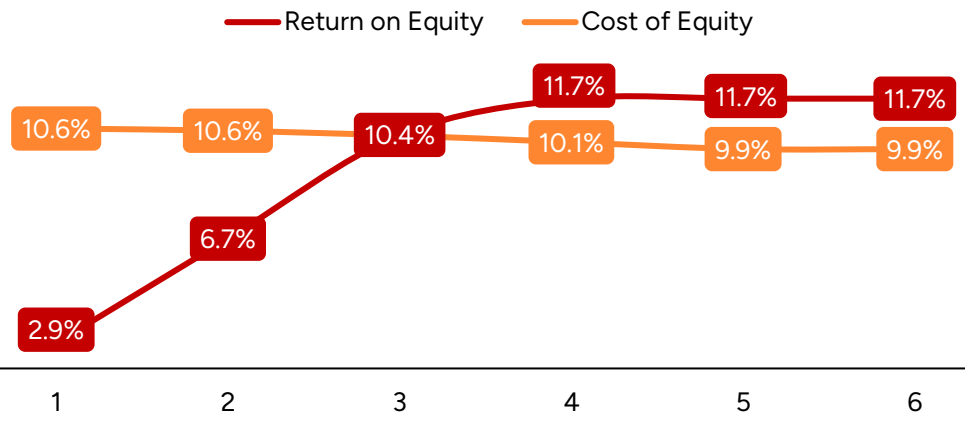
Delivering attractive investment returns for franchisees

Franchisee's cash flows ($ th) over projected timeline (years)



Improving profitability via store maturation and cost dilution

Return on Equity and Cost of Equity over projected timeline (years)



Sources: Franchise Disclosure Document, Team Elaboration

Driving store **expansion** through aligned interests

Proven profitability and 3G's aggressive growth plan effectively fueled massive franchisee expansion

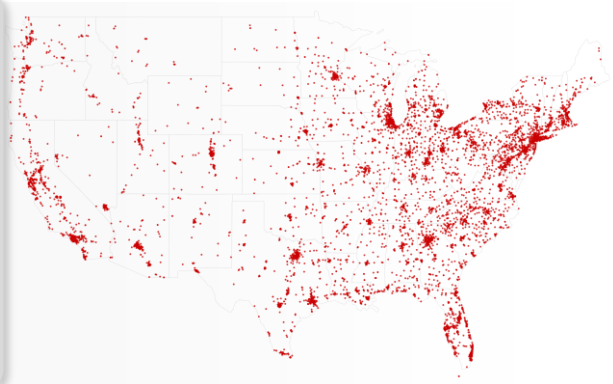
Company leveraged prime white space opportunities

Burger King US number of units and franchisees associated (2013-2017)

2013

5,677 Burger King Units

1,004 Burger King Franchisees



2017

7,086 Burger King Units

1,356 Burger King Franchisees



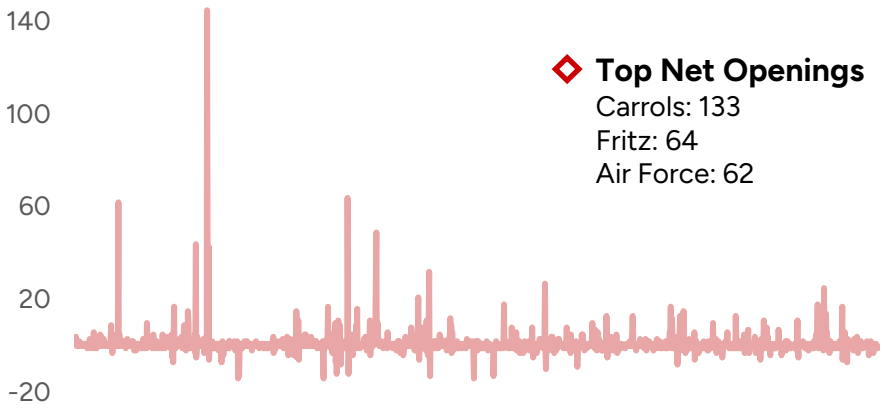
Driving widespread operational expansion for franchisees

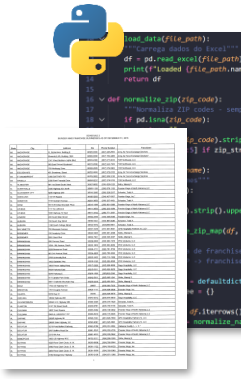


"There was significant **white space** for Burger King; many more locations could fit than existed in numerous markets. That was the **opportunity**."

Alex Behring – Managing Director at 3G Capital

Net openings for each franchisee (2013-2017)





Sources: Franchise Disclosure Document

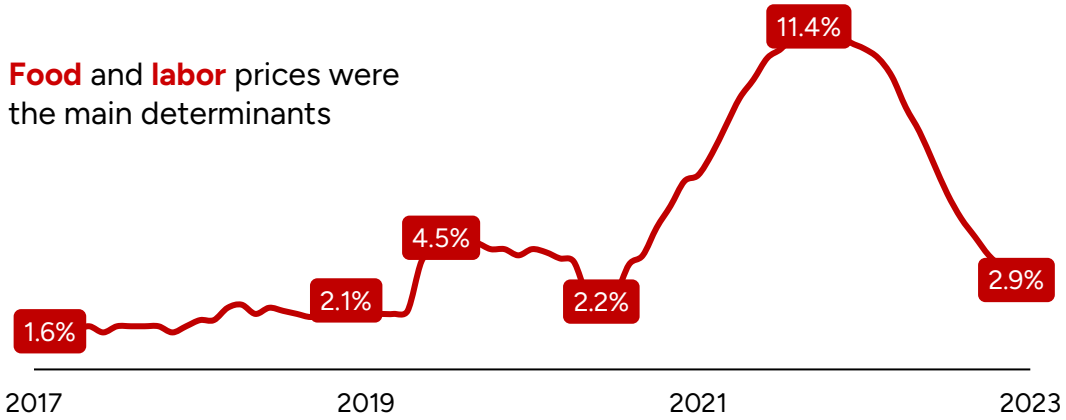
However, prior growth faded amid **tough times**

After a strong expansion cycle, several factors slowed growth, signaling a new chapter for Burger King

Food input inflation has put pressure on BK menu prices

Food input inflation in the USA

Food and **labor** prices were the main determinants



Combined with other factors, this has reduced traffic

Traffic reduction scheme

Negative Headwinds for BK (2017 – 2023)

Menu Inflation + ***Pandemic Factors*** + ***Lack of Modernization***

Lower Traffic

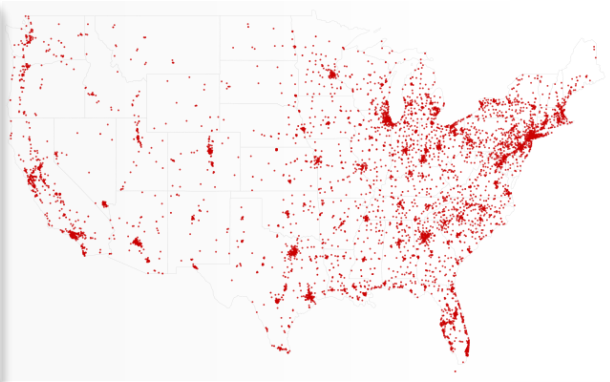
The expansion cycle faded, reducing the franchise base

Burger King US number of units and franchisees associated (2017-2023)

2017

7,086 Burger King Units

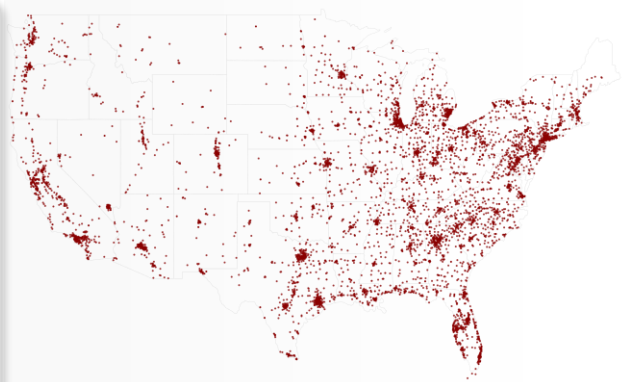
1,356 Burger King Franchisees



2023

6,288 Burger King Units

1,263 Burger King Franchisees



Sources: Trading Economics, Company's filings, Franchise Disclosure Document

Reclaim the Flame: One step back to ten forward

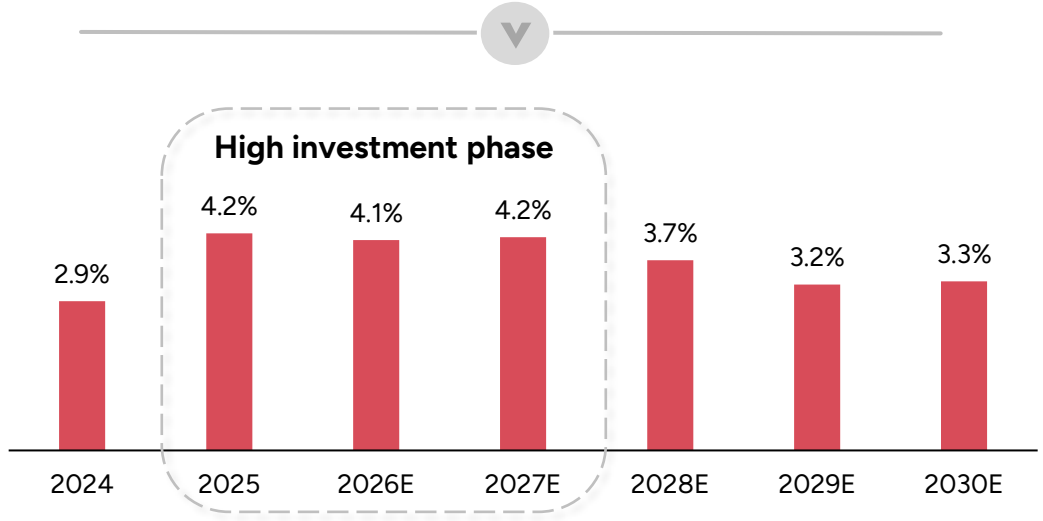
To reinvigorate growth, the company is undergoing a period of heavy investment aimed at boosting traffic

With the aggressive store modernization plan underway

RTF Scheme; RBI's Capex as percentage of revenue

Reclaim the Flame

Fuel the Flame	Royal Reset	Carrols Remodels
Q4'22-2024	Q4'22-2028	Q4'22-2028
150 mn in advertising	**1,120 remodels**	**600 remodels**



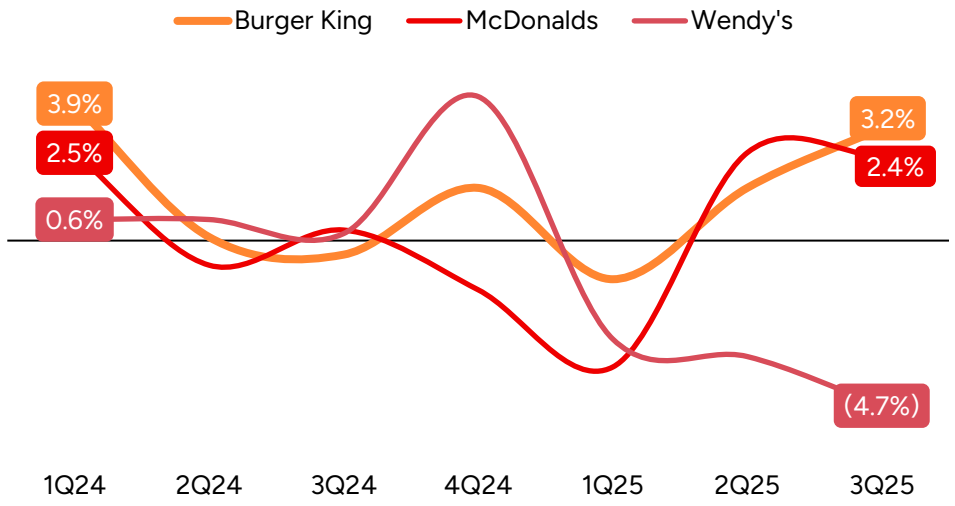
The company targets sustainable long term traffic growth



"This strategic initiative is a short-term step back to **unlock long term gains** and support **traffic recovery** amid weakening momentum at Wendy's"

Gilberto Leite, Investor at LTS Investments

Main burger franchises' Same Store Sales in the USA



Sources: Team Elaboration, Company's Filings

Modernization **uplift**: New stores, new traffic

The agreement splits capital employed between franchisee and franchisor, accelerating unit-level returns

With the aggressive store modernization plan underway

Royal Reset Scheme

Reclaim the Flame

Fuel the Flame	Royal Reset	Carrols Remodels
Q4'22-2024	Q4'22-2028	Q4'22-2028
150 mn in advertising	**1,120 remodels**	600 remodels

I Agreement

Royalties: 4.5-6.0%

Franchisor provides capital support in exchange for higher royalty rates

II Remodel

Capex: 322 mn

Accelerating store modernization via full remodels and strategic rebuilds

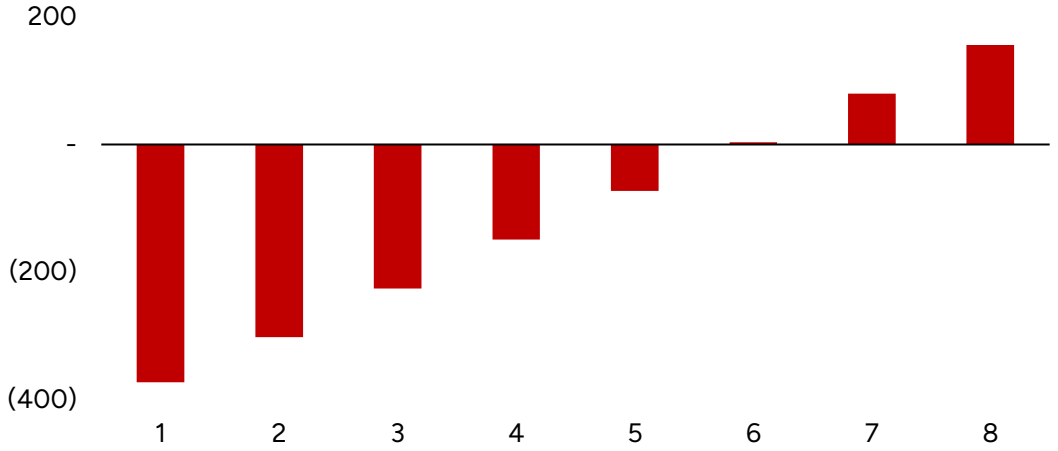
III Expansion

Uplift: 14.7-26.5%

Modernized standards stimulate guest traffic and drive SSS growth

Franchisees capture sales uplift and rapid unit gains

Accumulated cash flows to equity for remodel grade B – 5.5% royalty



Across all tested intensities of the renovation plan

Franchisee payback (years) per grade and royalty rate

Franchise grade

Royalty rate \ Payback	A	B	C
6.0%	4.7	5.4	6.9
5.5%	5.1	6.0	7.7
5.0%	5.4	6.4	8.3
4.5%	5.7	6.8	8.8

Franchisees favor **higher royalties** to accelerate their capital **returns**

Sources: Franchise Disclosure Document, Team Elaboration

A **win-win** scenario: Enhancing franchisor returns

Beyond the franchisee, the project benefits RBI through higher royalty rates and sustained traffic growth

With the aggressive store modernization plan underway

Royal Reset Scheme

Reclaim the Flame

Fuel the Flame	Royal Reset	Carrols Remodels
Q4'22-2024	Q4'22-2028	Q4'22-2028
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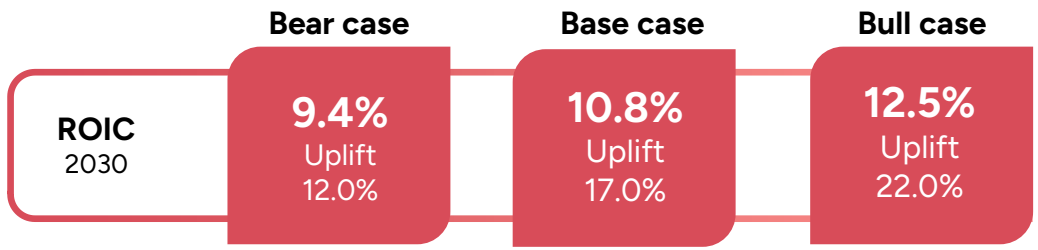
III Expansion

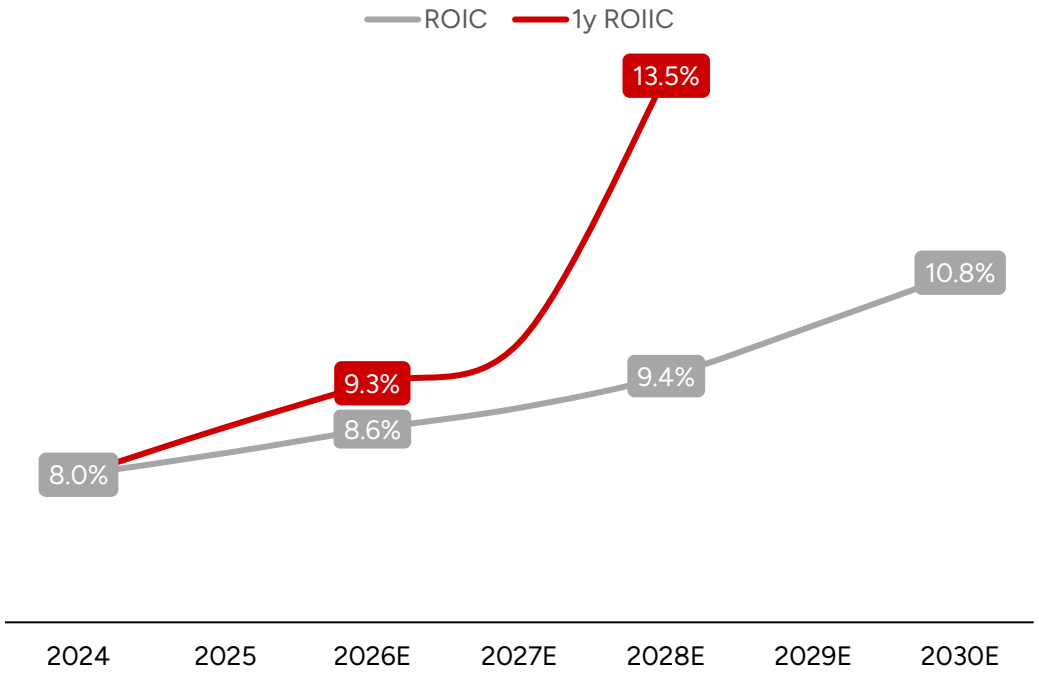
Uplift: 14.7-26.5%

Modernized standards stimulate guest traffic and drive SSS growth

RBI secures returns from higher royalty rates and traffic

Project ROIC and 1y ROIIC with sensibilized sales uplift and royalties





Sources: Franchise Disclosure Document, Team Elaboration

Carrols M&A: Direct operations put skin in the game

Acquiring a major franchisee lifts risk and expense in the short-term, but secures superior returns after refranchising

With the aggressive store modernization plan underway

Carrols' Remodels Scheme

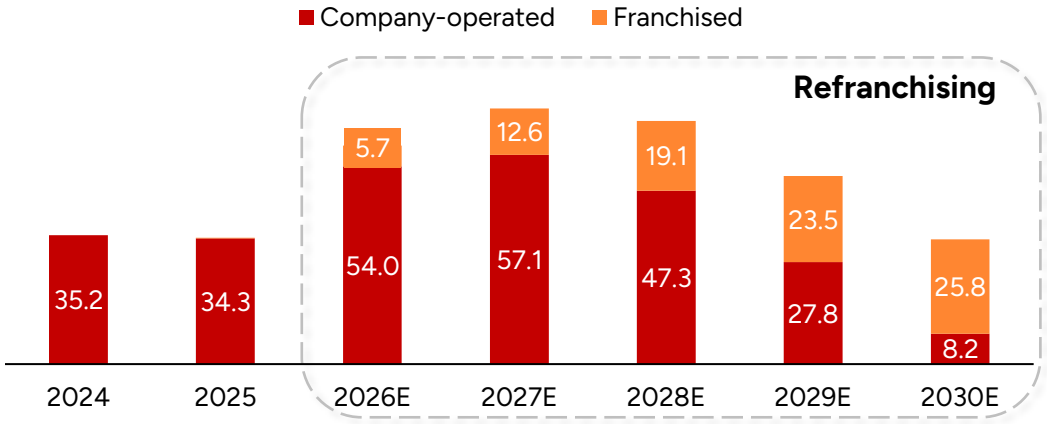
Reclaim the Flame

Fuel the Flame	Royal Reset	Carrols Remodels
Q4'22-2024	Q4'22-2028	Q4'22-2028
150 mn in advertising	1,120 remodels	**600 remodels**

Acquisition	Acquisition for $1.0B EV (**6.6 EV/EBITDA**), **diluting** the largest franchisee
Remodel	Executing 600 remodels while **directly operating** the restaurants
Refranchising	Refranchising 1,000 units to unlock proceeds, royalties and **multiple expansion**

Future refranchising will guarantee robust cash flow

Carrols' Incremental NOPAT breakdown ($ mn)



Resulting in attractive returns and a USD 394mn NPV

Carrols' Acquisition IRR sensitivity analysis

Exit EV/EBITDA \ Average Proceeds per unit ($ mn)	1.0	1.12	1.25	1.37	1.5
IRR					
19x	11.8%	14.2%	16.5%	18.7%	21.0%
17x	11.0%	13.4%	15.7%	18.1%	20.3%
15x	10.1%	12.5%	**15.0%**	17.3%	19.7%
13x	9.1%	11.7%	14.1%	16.6%	19.0%
11x	8.1%	10.7%	13.3%	15.8%	18.3%

Sources: Company's filings, Franchise Disclosure Document

Investment Thesis

Bright future: Growth avenues

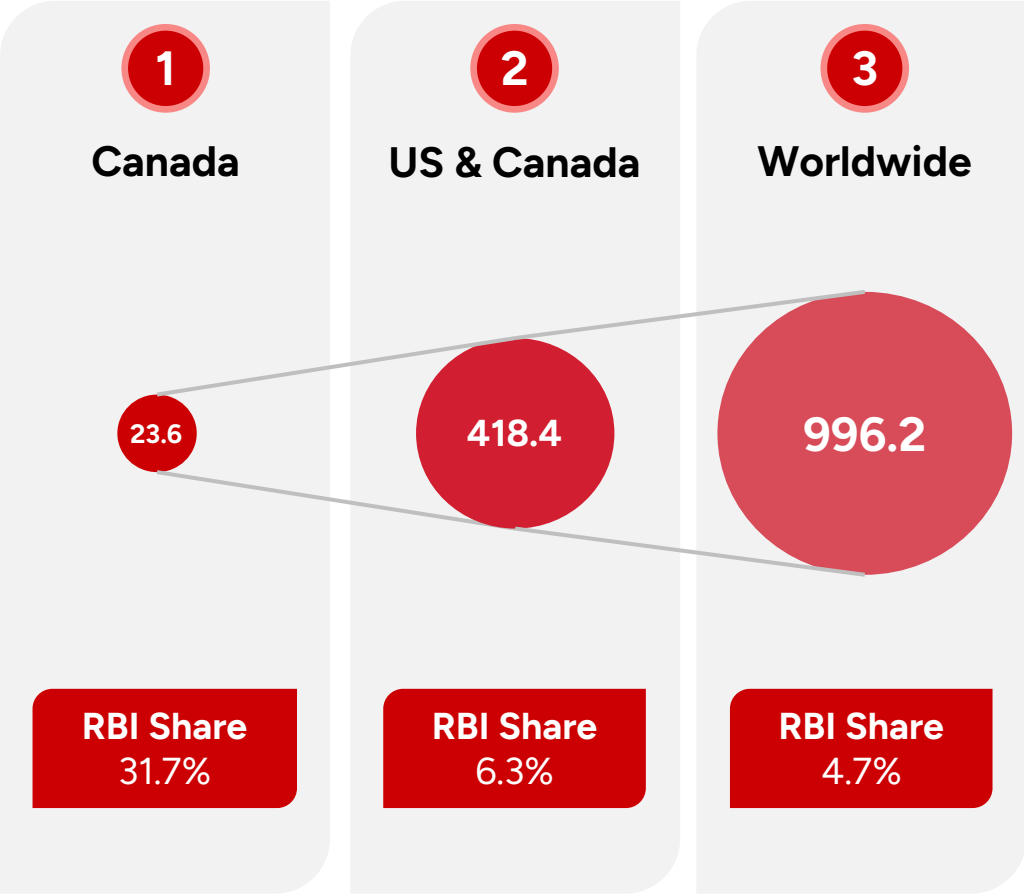
Underpenetrated markets drive growth opportunities

Significant **growth opportunities** pave RBI's path

Beyond a unique business model supported by competitive advantages, a strong long term outlook emerges for RBI

With a large and underpenetrated addressable market

Total Addressable Market ($ bn) for RBI in different markets



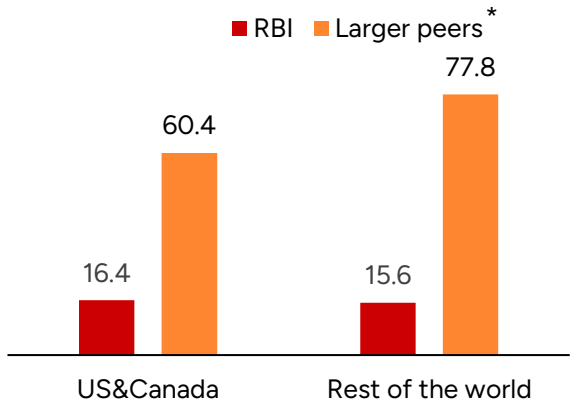
Expansion potential exist both locally and internationally

"The reality is that we are **still** significantly **under-penetrated** in some of the largest QSR markets in the **world**, including right here in the US"



Josh Kobza – CEO of RBI

RBI unit count by region vs largest peers in all segments combined



Room for expansion in the **international** and **local markets**

* Sum of the largest peers in each of the 4 RBI markets

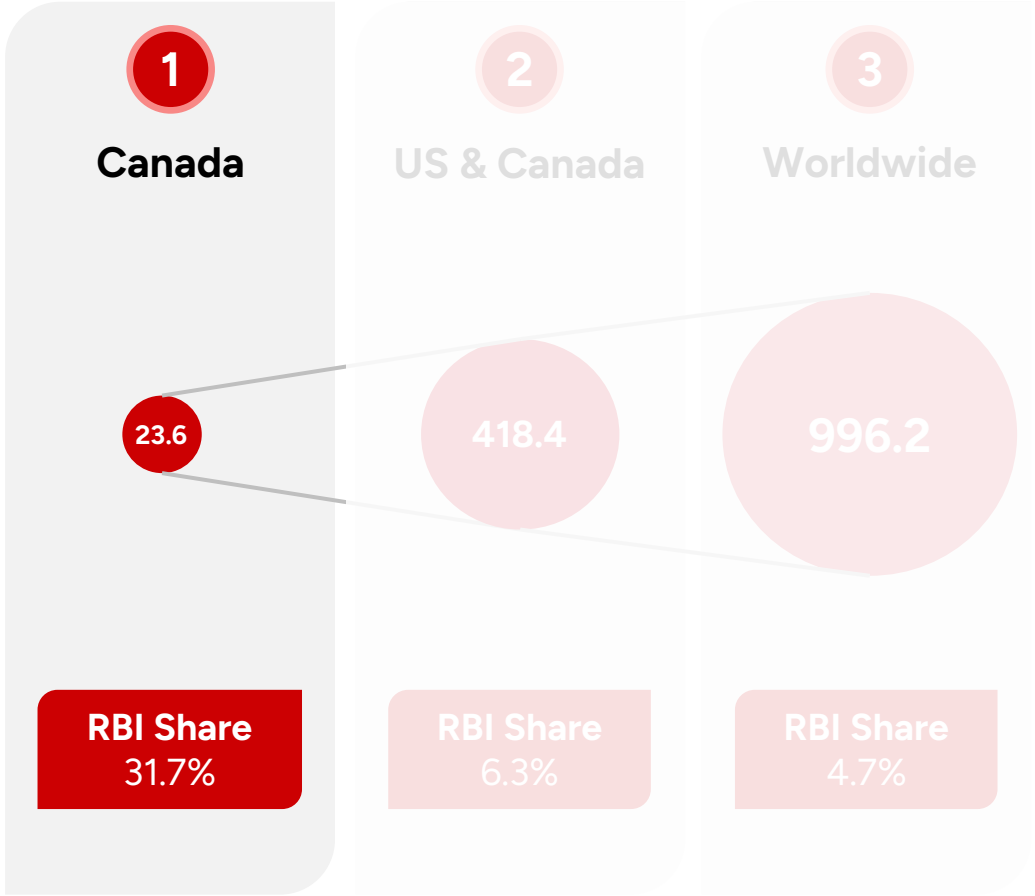
Sources: Company's filings, Statista

Strengthening leadership: **Tims' trajectory** in Canada

Despite being a local leader, Tims' operation still has significant growth potential through new units and AUV uplift

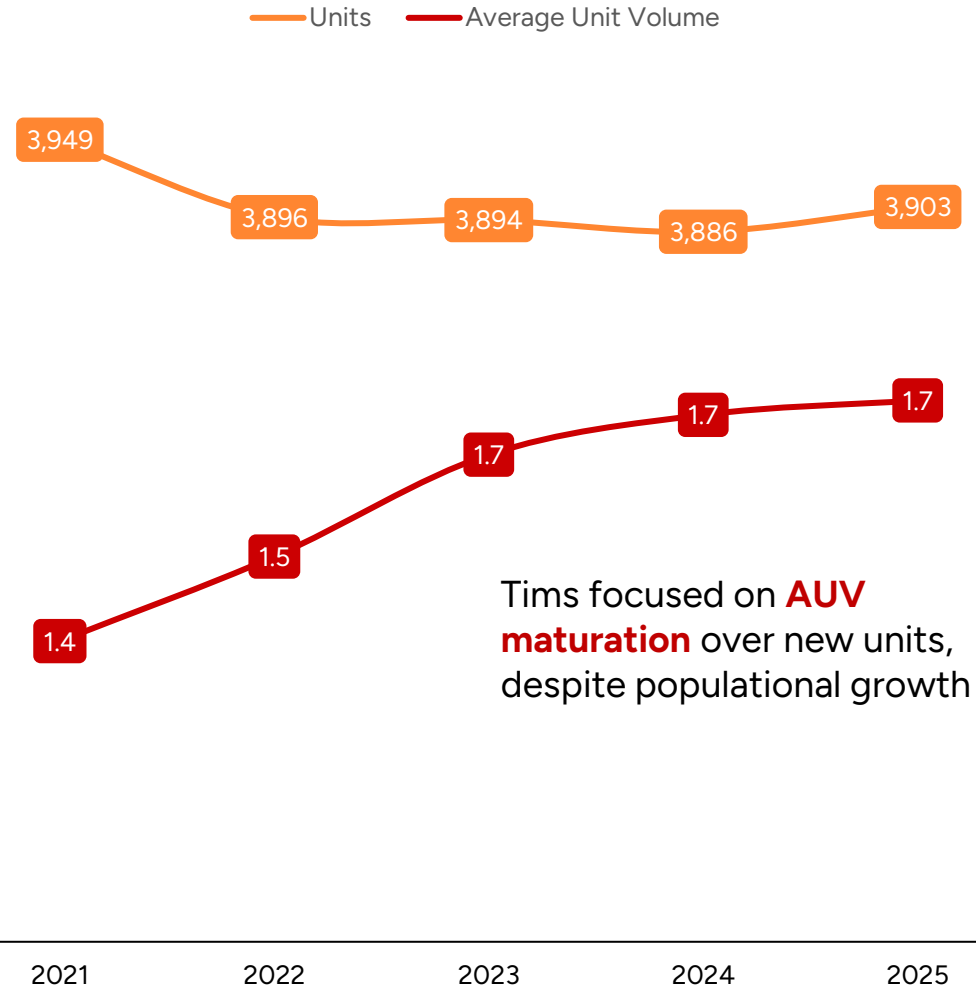
Tim Hortons expanding TAM across the bakery ecosystem

Total Addressable Market ($ bn) for RBI in different markets



Empowering expansion through multiple growth avenues

Tim Hortons Canada units and AUV ($ mn)

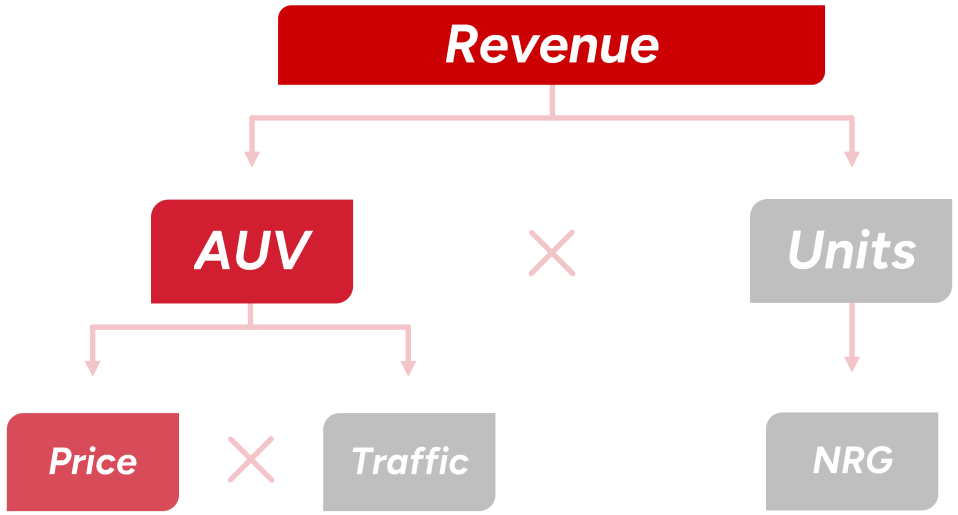


Tims focused on **AUV maturation** over new units, despite populational growth

Sources: Company's filings

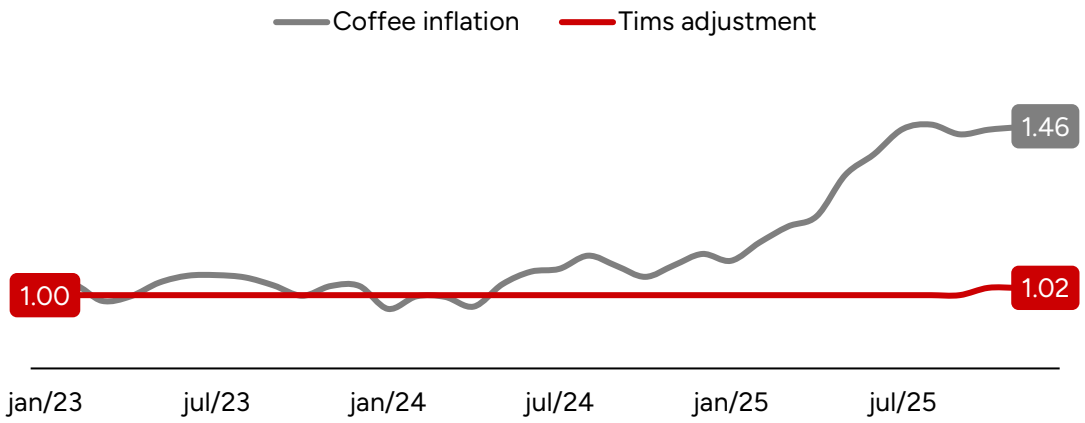
1 Boosting SSS: **Pricing** is not a sustainable lever

Tim Hortons appears reluctant to pass through inflation in the menu, despite rising prices in the Canadian market



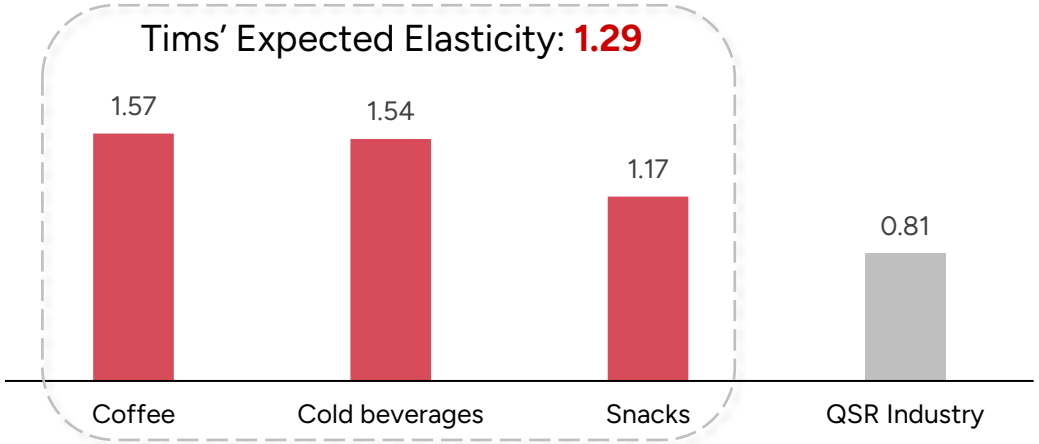
The company has not adjusted prices in recent years

Average monthly price of roasted coffee (Base 100)



Since competitiveness leads to high demand sensitivity

Tims' Own Price and QSR Industry Absolute Elasticity



Therefore, the revenue growth shouldn't be driven by price

Tims' price increase scheme

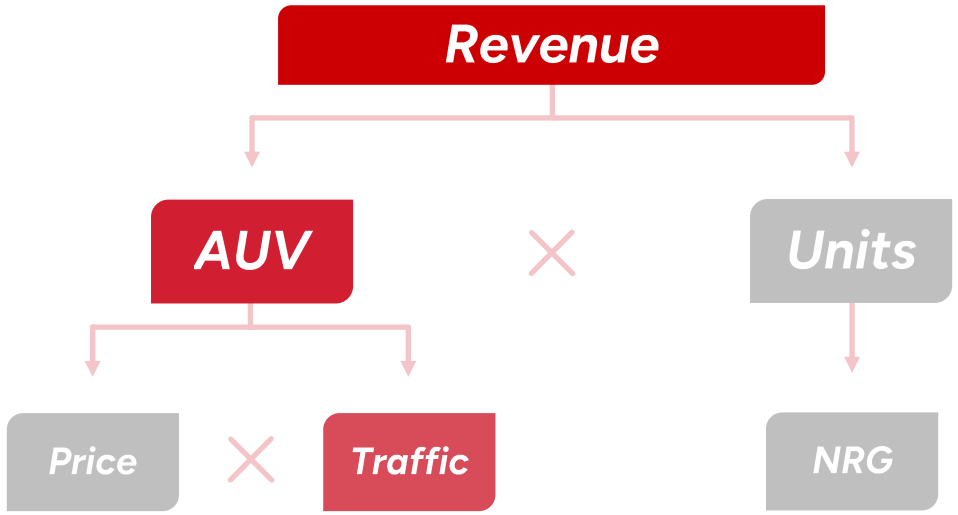
1.00% increase in Tims' price » ***1.29% decrease in Tims' traffic***

Not a **sustainable** revenue growth avenue

Sources: BMC Public Health, Statistics Canada, Team Elaboration

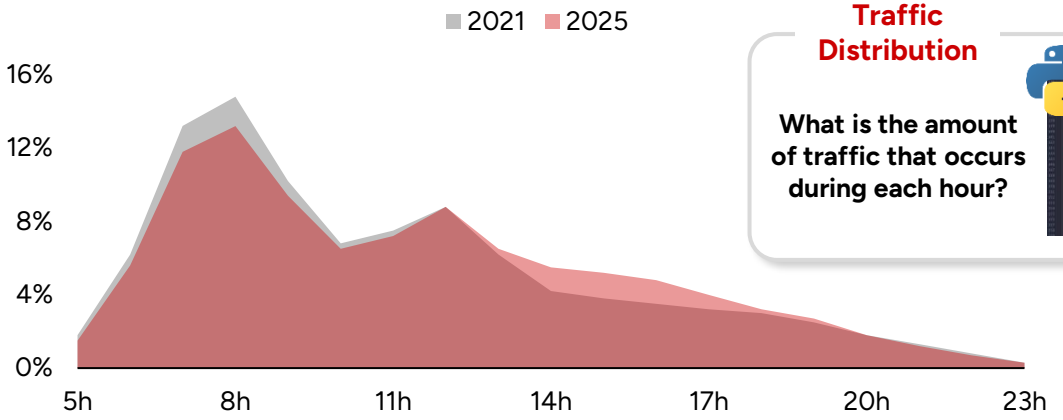
1 However, new mix drive solid **traffic** expansion

To drive SSS growth, the company seeks to boost traffic by improving performance beyond the morning daypart



The company reduced reliance on morning dayparts

Tim Hortons' Traffic Distribution during the day-time



Through new initiatives aimed at spreading customer traffic

Tim Hortons' Canadian PM food market share change

New product mix:
Wraps and cold beverages

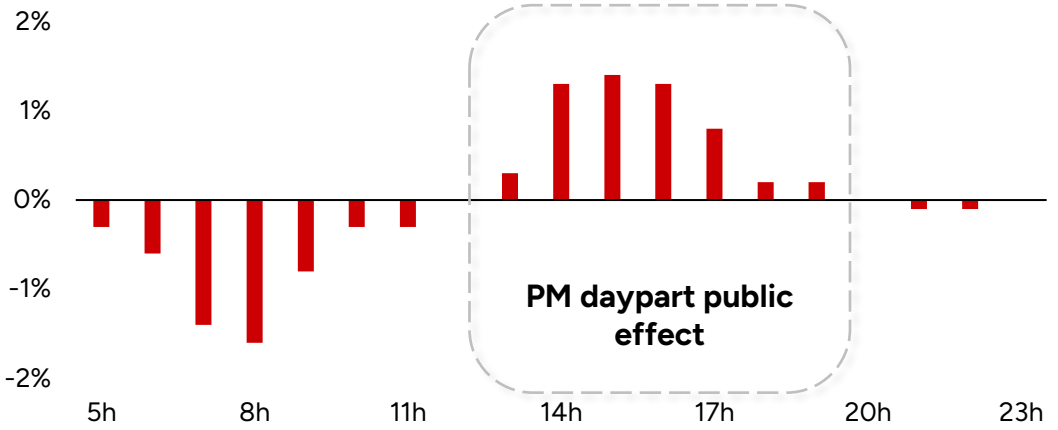


Aims to promote the AM time slot to **return to the PM schedule**



Increasing daily sales distribution and average store traffic

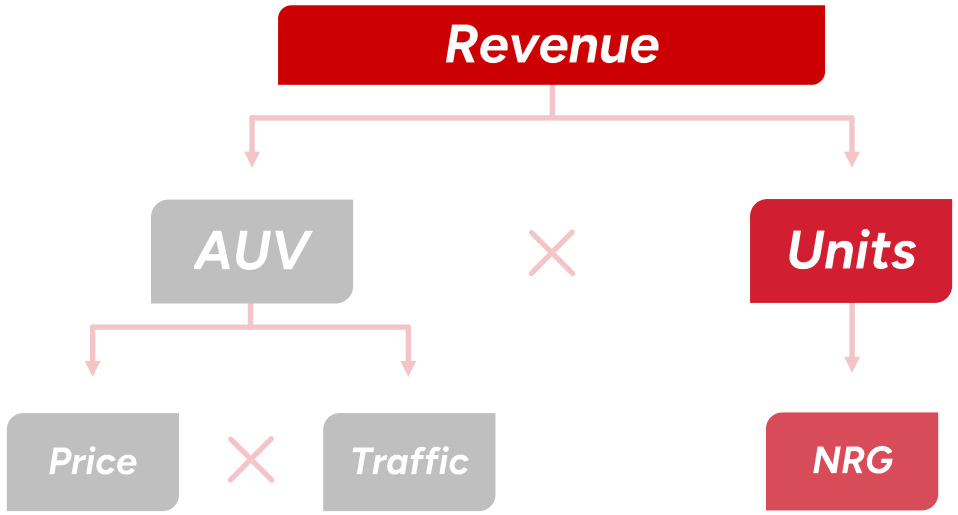
Variation in traffic concentration in each hour (2021-2025)



Sources: Team Elaboration

1 Beyond SSS, Canada offers **unit growth** expansion

Populational growth has outpaced the store base, creating opportunities for new openings and share gains



Taking advantage of a Starbucks turnaround moment

Tims' store density in Canada vs Starbucks turnaround moment

Tims

White space opportunity

9.4 Tims per 100 th habitants, compared to 10.5 in 2014

×

Sbux

Turnaround Moment

7 straight **negative SSS** quarters and declined margins

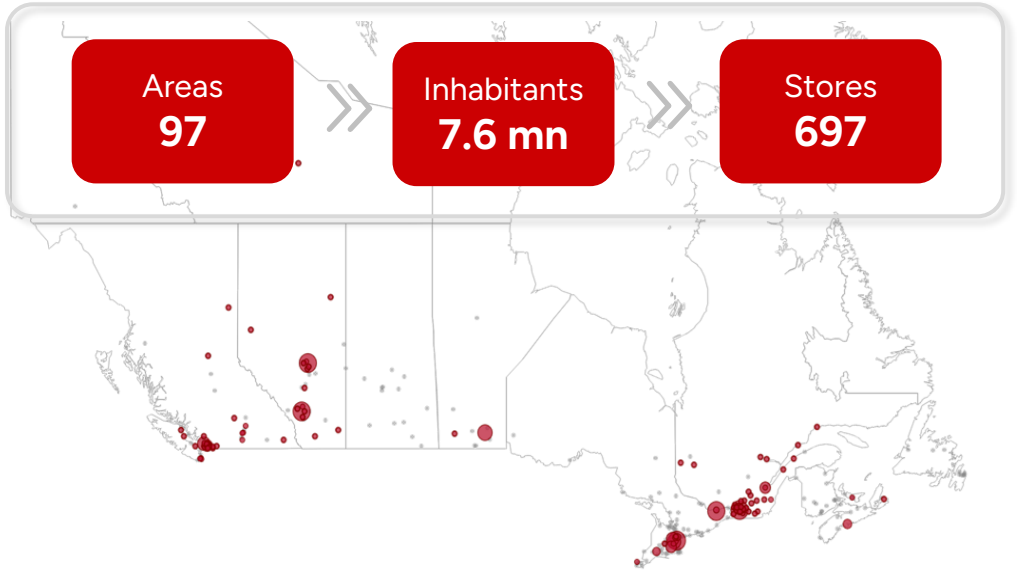
RBI can unlock opportunities in underpenetrated regions

Canada map with underpenetrated cities across the country

What areas could TH Canada consider for **expansion**?

I More than **20k** inhabitants

II Less than **1.5** Tims + Starbucks units per **10k** Canadians



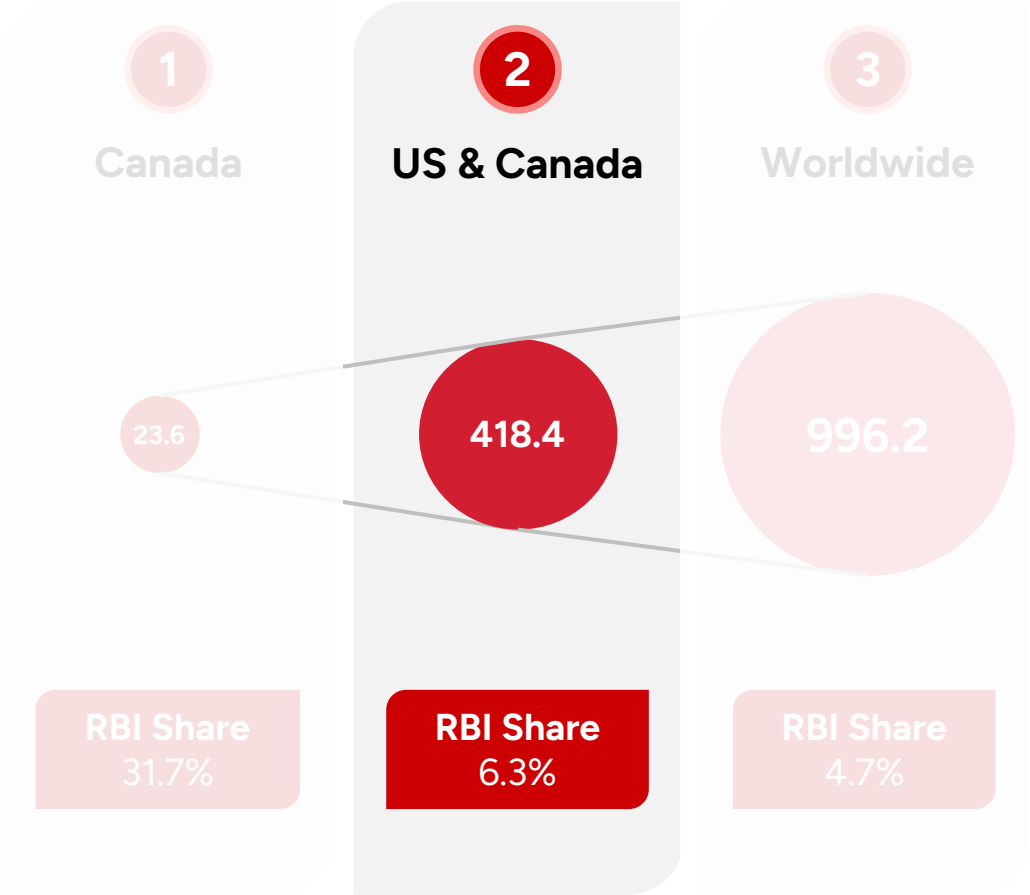
Sources: Company's filings, Trading Economics, Team Elaboration

US market: opportunity for **underpenetrated** brands

While Burger King focuses on improving unit economics, Popeyes and Firehouse have strong unit growth potential

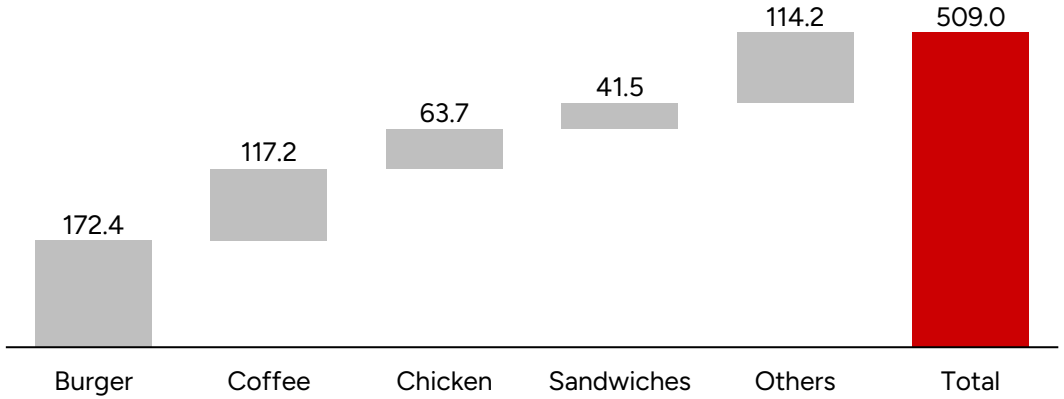
Expanding the scope toward the US market landscape

Total Addressable Market ($ bn) for RBI in different markets



Burger and coffee segments stand out as the largest TAM

US addressable market breakdown by food type ($ bn)



However, expansion case is stronger in other categories

Current situation of all brands in the USA

Amid **Reclaim the Flame**

Strong competitor **(Starbucks)**

Focus on **AUV** maturation

Underpenetrated **growth potential**

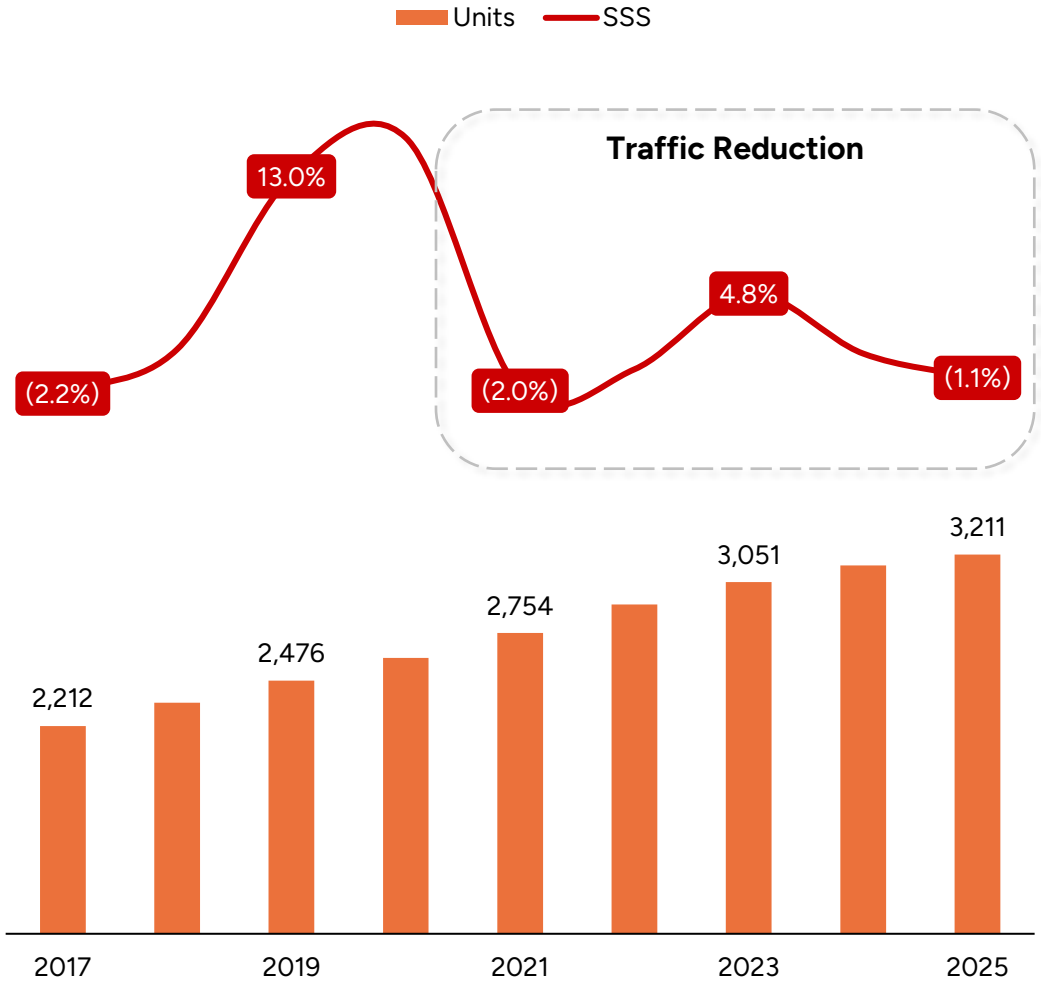
Sources: Statista

2 Popeyes: Rebranding to restore customer loyalty

Facing pressure on same store sales, the brand seeks to reshape customer engagement to drive traffic

New unit openings attracted customers but diluted traffic

Popeyes' US Units and Same Store Sales



Highlighting the need to increase loyalty and visit frequency

Current situation demands a rebranding to increase loyalty



"Traffic **spikes were brief**, and we need to **build loyalty** on them. If the average customer shifts from 4 to 5 visits a year, it would be a significant achievement"

Patrícia Pieranti, Popeyes Innovation & Activation Director

Leading to a management change to strengthen operations

Peter Perdue Track record Scheme



Peter Perdue – New Popeyes **President**

12 Years of RBI
Previously as BK COO (CA&US)

Turnaround Expertise
Led the Reclaim the Flame Initiative

Sources: Company's filings

2 Firehouse: Consolidating the brand in the USA

The brand is establishing a presence in the US market, but franchisee fragmentation remains a challenge

The brand faces difficulty growing due to fragile scale

Firehouse Subs' number of units and franchisees in the USA – 2025

Store per franchisee 2.44 × **Franchisees** 577

1,407 franchised restaurants in the USA

But is reshaping the situation through consolidation

Firehouse Subs' objective in the USA

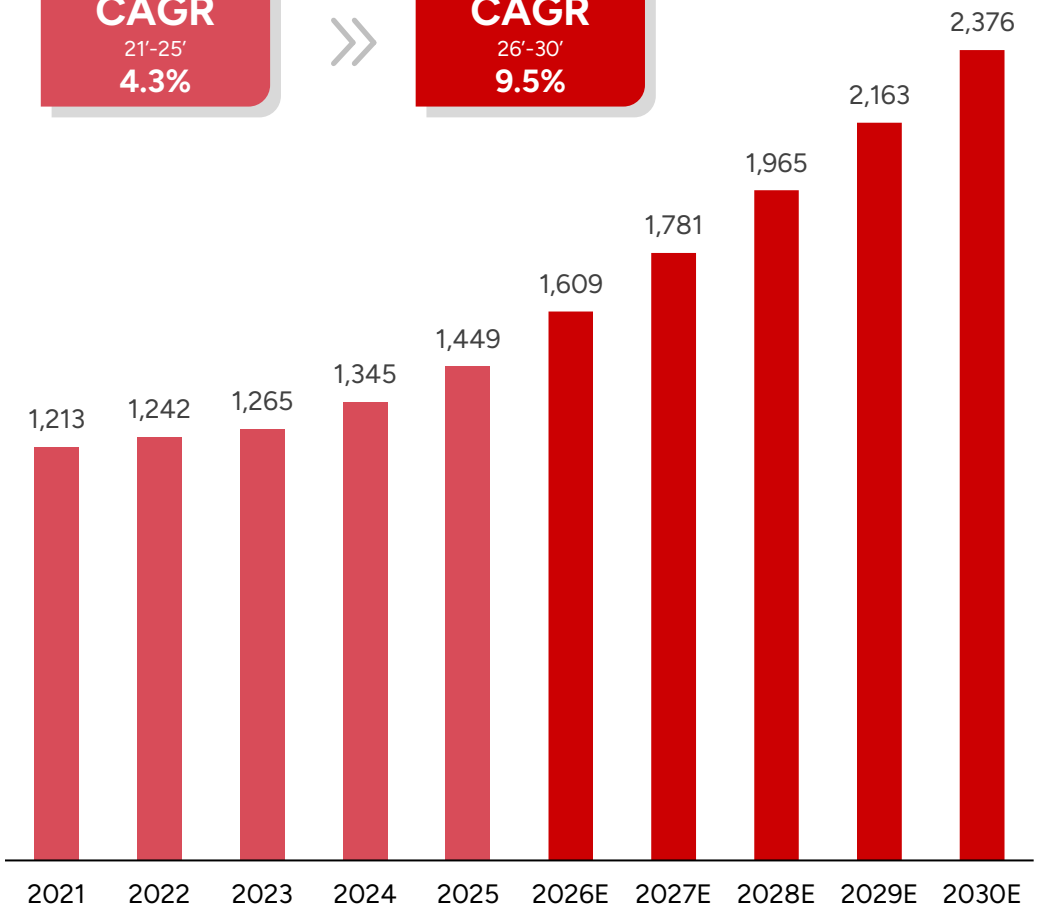


"The current plan in the USA is to **reduce franchisee** store **fragmentation** to possibly foster better unit growth in the future"

Roberta Ramos, Marketing Lead at Firehouse Subs

Bringing an opportunity to ramp-up number of stores

Firehouse Subs' expected number of units in the USA



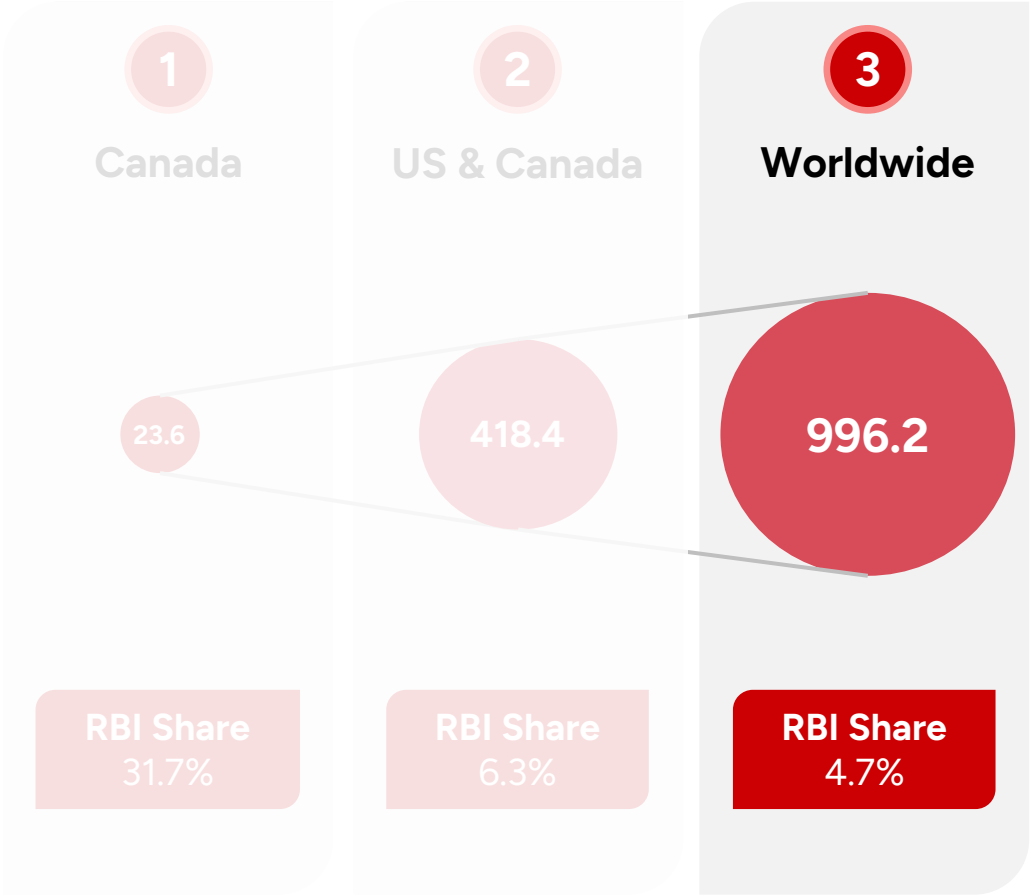
Sources: Company's filings

Turning to **international**: Aggressive growth profile

RBI pursues accelerated international expansion through new unit openings globally, led by Burger King

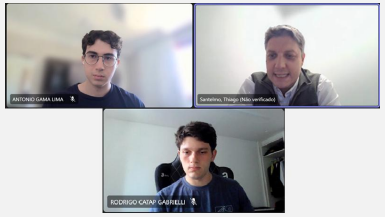
The company aims to capitalize on a sizable global market

Total Addressable Market ($ bn) for RBI in different markets



Through new store openings and geographic expansion

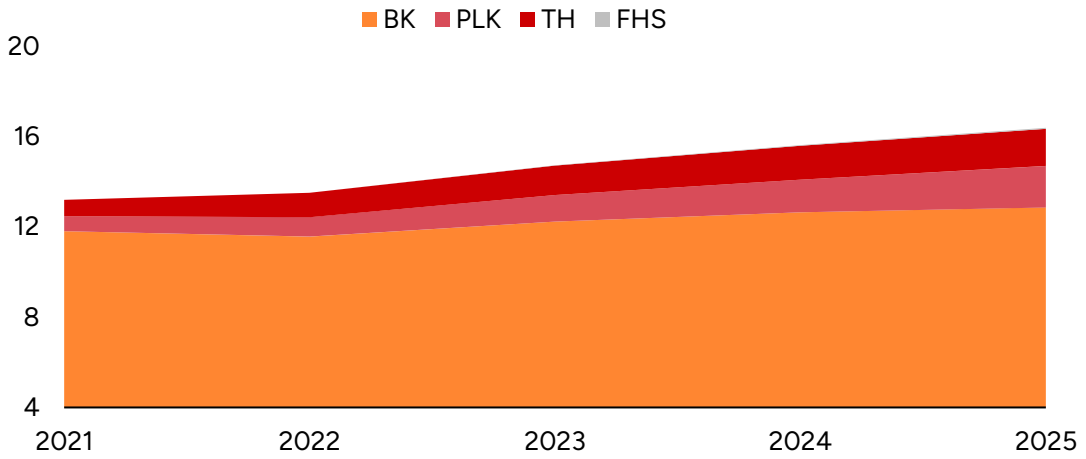
Conversation with Thiago Santelmo



"At international segment, **growth is the priority**: if we don't occupy the space, the competition will"

Thiago Santelmo, President, International at RBI

International system-wide restaurants (th)



Sources: Company's filings, Statista

3 Having good partners: Master franchising

To leverage international operations, RBI partners with local experts through master franchise agreements

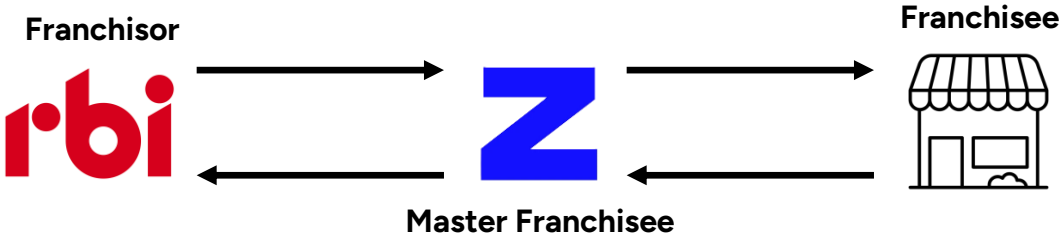
Partnering with local experts to operate in each market

Zamp field research and master franchising agreement scheme



Zamp Headquarters
São Paulo, Brazil

We visited BK and Popeyes operator **Zamp** in Brazil and talked to the team to get a better understanding of the Brazilian operation



Net Restaurant Growth Commitments

RBI sets **store opening targets** in the master franchise agreement to ensure continued expansion

RBI strengthens position through international expansion

Zamp's values and main objectives in Brazil



"**Team expertise** is essential to **adapt** products to local customer preferences"

Pedro Zemel – CEO at Zamp

Customer	Delivering exceptional service programs to boost **repeat visits** and brand preference
Food	Ensuring **food quality** and safety through Zamp and RBI audits
People	Fostering **talent** recruitment, training and meritocracy despite Brazil's challenges

Sources: Team Elaboration

3 Mapping the expansion: The best **destinations**

Through a proprietary analysis, we identified the most viable and underpenetrated markets for RBI expansion

Analyzing multiple socioeconomic factors reveals significant opportunities in multiple markets, particularly in China

Expansion potential score by country

Criteria

What are the most relevant factors to measure growth?

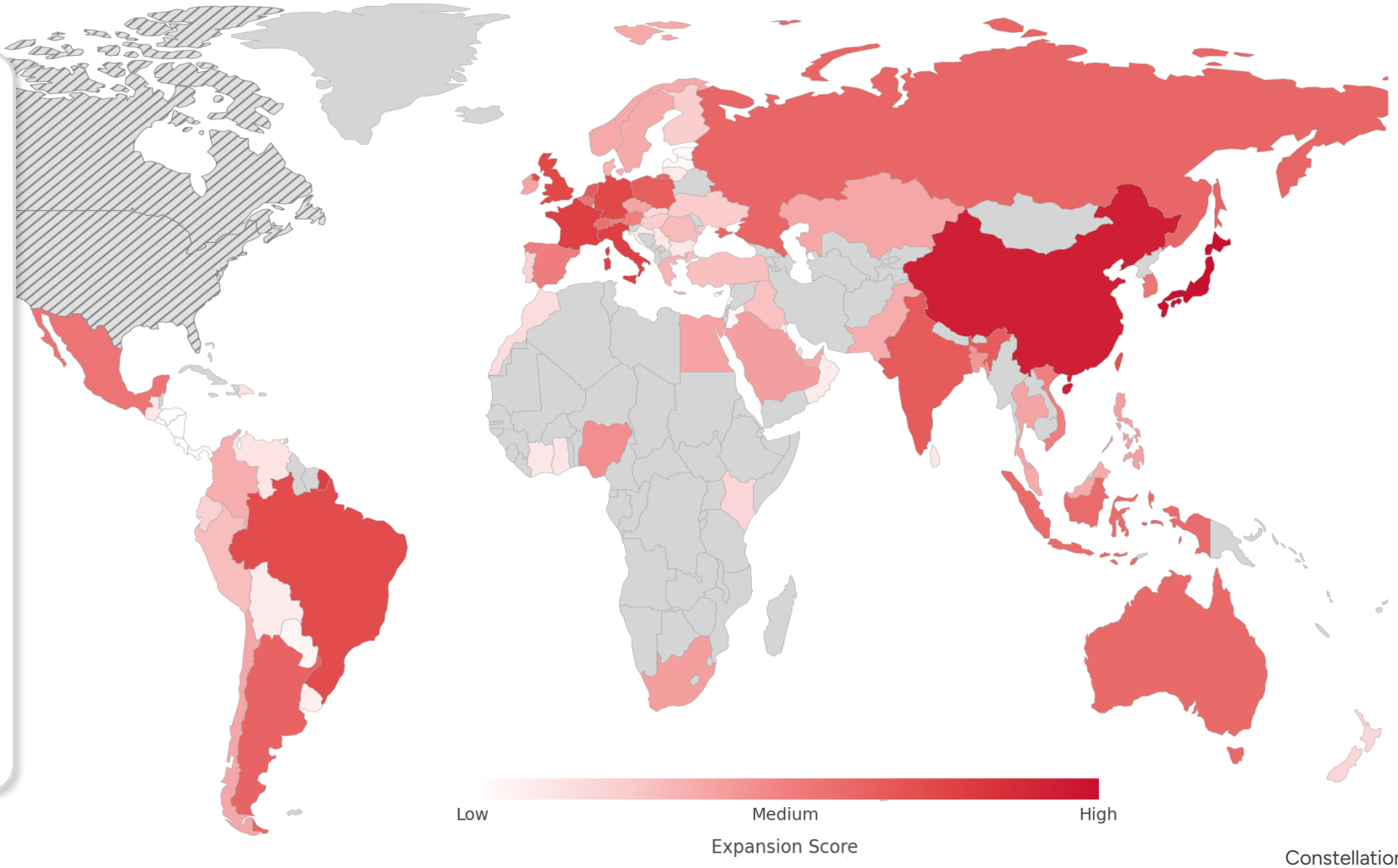
I **Market Penetration:** BK and McDonald's Stores per capita

II **Market size:** QSR industry addressable market

III **Income factor:** Country's GDP per capita

IV **Culture Match:** Average meat consumption per person

V **Population:** Logarithm of the population size



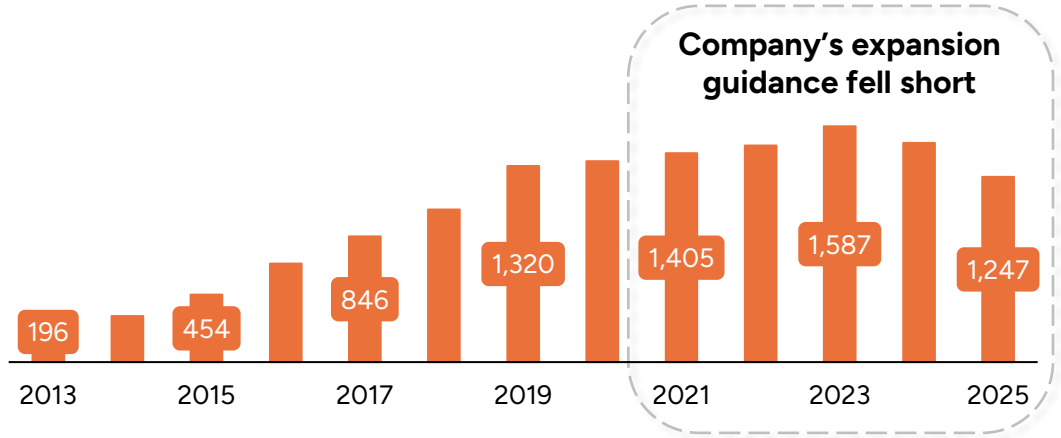
Sources: Team Elaboration

3 China case study: Fueling expansion with a JV

With the buyback and the new JV with CPE, unlocking significant upside from this move

Strategic decision scheme and expansion plan detailed

Burger King unit count in China



Why did Burger King fail in China?

Bad local adaptation + ***Expansion collapse*** + ***Ineffective management***

Franchisee misalignment

Replacing the franchisee allowed RBI to strengthen operations

Strategic Decision scheme and expansion plan

Reuters

"Restaurant Brands takes **full control** of Burger King China"

02/18/25

Restaurant Business

"Chinese PE firm gets majority stake in **BK China JV**"

02/03/26

Chinese PE firm will commit to a 350 mn CAPEX

Turning BK China aims to triple unit count by 2035

Compelling meaningful value creation for the company

Acquisition upside scheme

RBI Purchase price: ***$158 mn*** » *Net present value:* ***$223 mn***

41.1% upside

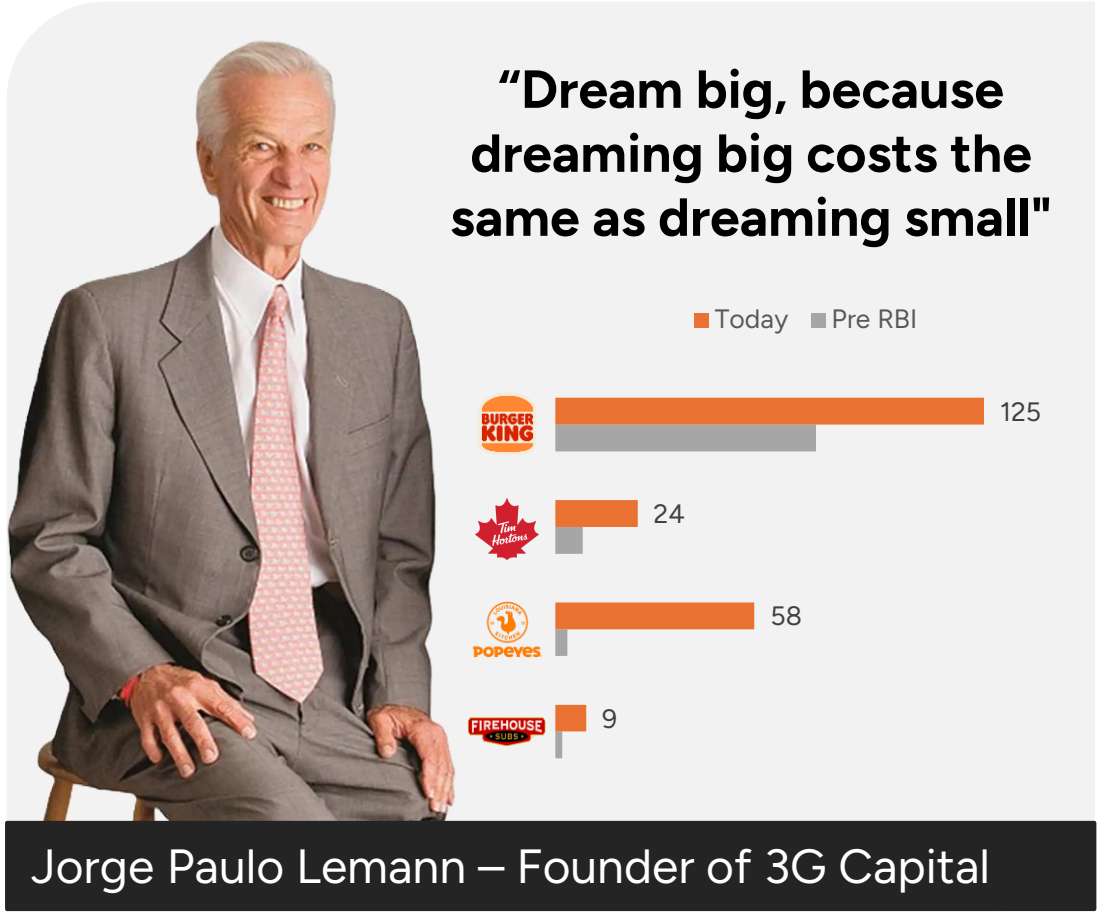
Sources: Company's filings, Team Elaboration

3 The **big dream**: Four brand internationalization

RBI's long term ambition is to fully internationalize the brand, establishing a worldwide leadership

Global expansion must extend across all four brands

RBI presence in international markets by brand



What is the big dream for RBI?

Burger King
Surpass McDonald's to become the **leading global** hamburger brand

Tim Hortons
Work to expand its brand **awareness beyond Canada**, aiming to compete with Starbucks

Popeyes
Pursue international expansion to **establish global leadership** in the chicken category

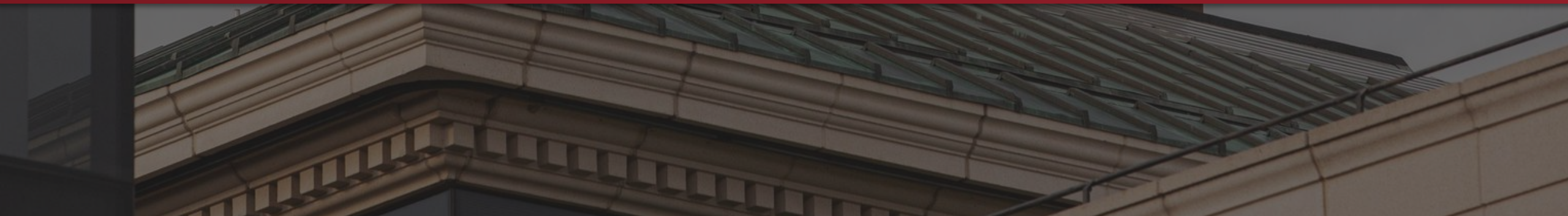
Firehouse Subs
Consolidate positioning **in the US market** as one of the leading sandwich operators

Sources: Company's filings



Valuation & Financials

How did we translate our thesis into numbers?



Building the **top-line**: Restaurant unit projections

Unit projections factor in Tim Hortons recovery and fast international growth while refranchising Carrols

Assumptions

Net Restaurant Growth

Net openings / System-wide restaurants

Tim Hortons NRG: Population growth + 0.5%
Canadian white space expansion outpacing populational growth

Burger King NRG: CAGR (25-30) 0.2%
US unit stagnation during Reclaim the Flame modernization

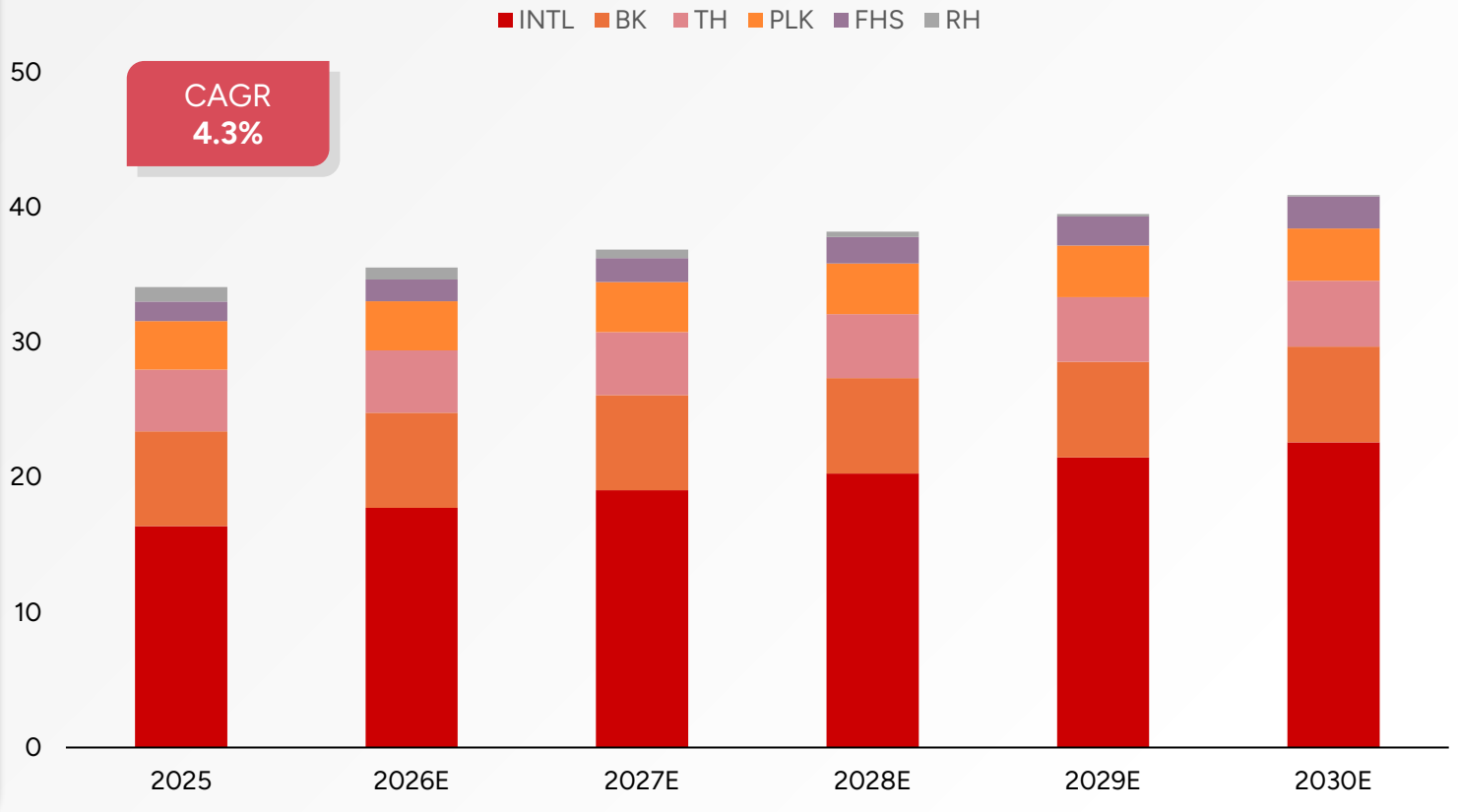
Popeyes NRG: CAGR (25-30) 1.6%
Slowing unit expansion to prioritize AUV, while growth persists due to brand underpenetration

International NRG: CAGR (25-30) 6.6%
Four-brand expansion led by China JV and entry in new markets

Firehouse Subs NRG: 10.4%
Aggressive expansion driven by franchisee consolidation amid a weak competitive moment

Domestic growth stays solid, while international leads expansion in coming years

System-wide restaurants by operation (th)



Sources: Team Elaboration

Building the **top-line**: System-wide sales projections

Burger King store remodels and Tim Hortons daypart expansion drive traffic growth and SSS momentum

Assumptions

System-wide sales

Comparable SSS + NRG – Store maturation

Tim Hortons SSS: Inflation + 0.7%
Product mix expansion accelerates PM guest traffic growth

Burger King SSS: Inflation + remodel uplift
Modernized stores bring new traffic and drive same store sales growth

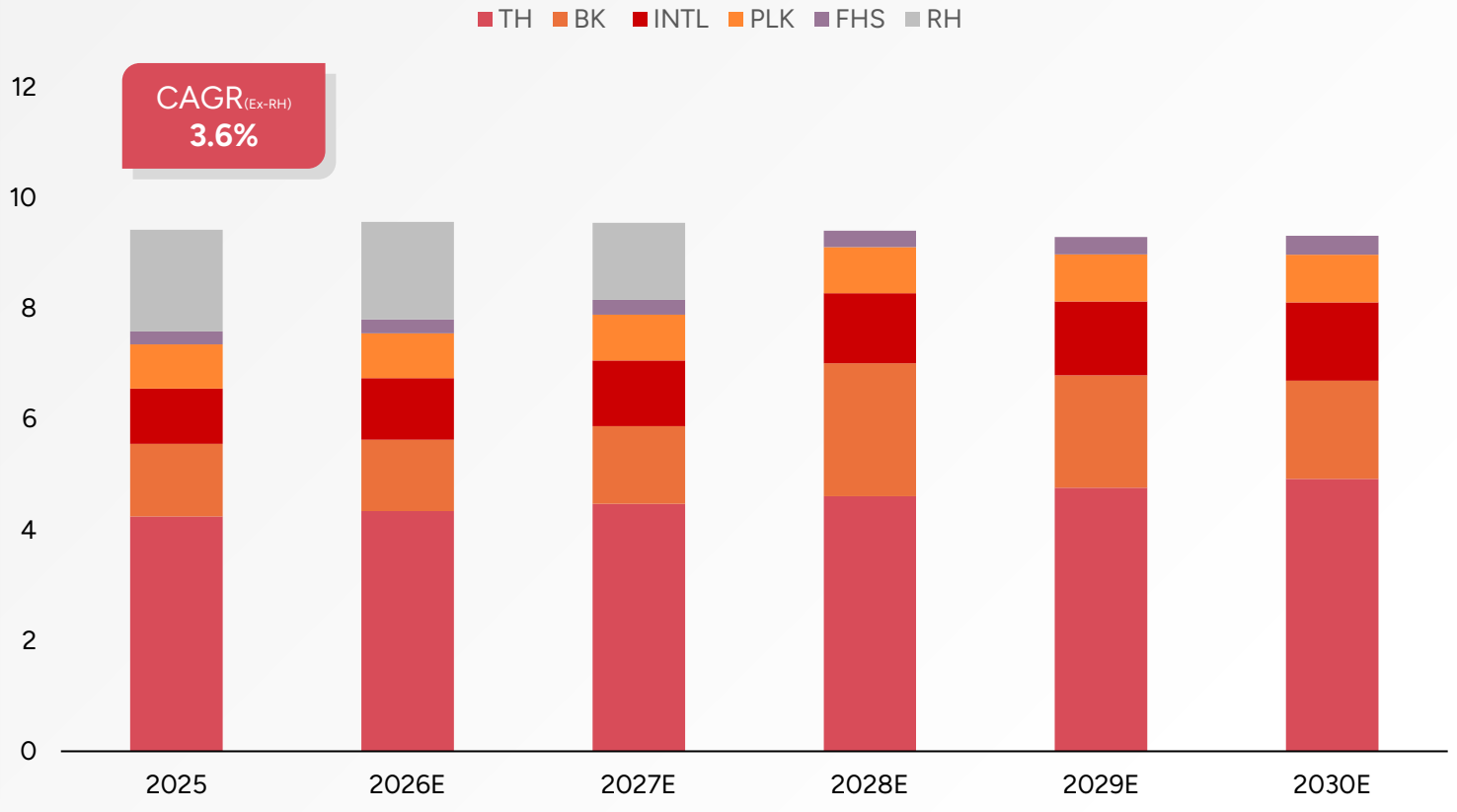
PLK, FHS & INTL SSS: In line with inflation
Ticket growth will follow local price index while traffic remains stagnant

Three-year store maturation:
Project restaurants to reach 100% AUV by the third year of operation

Restaurant Holdings
Refranchising done by 2030

Tims' supply chain sales remain foundational as international gains revenue share

Total Revenue by operation ($ bn)



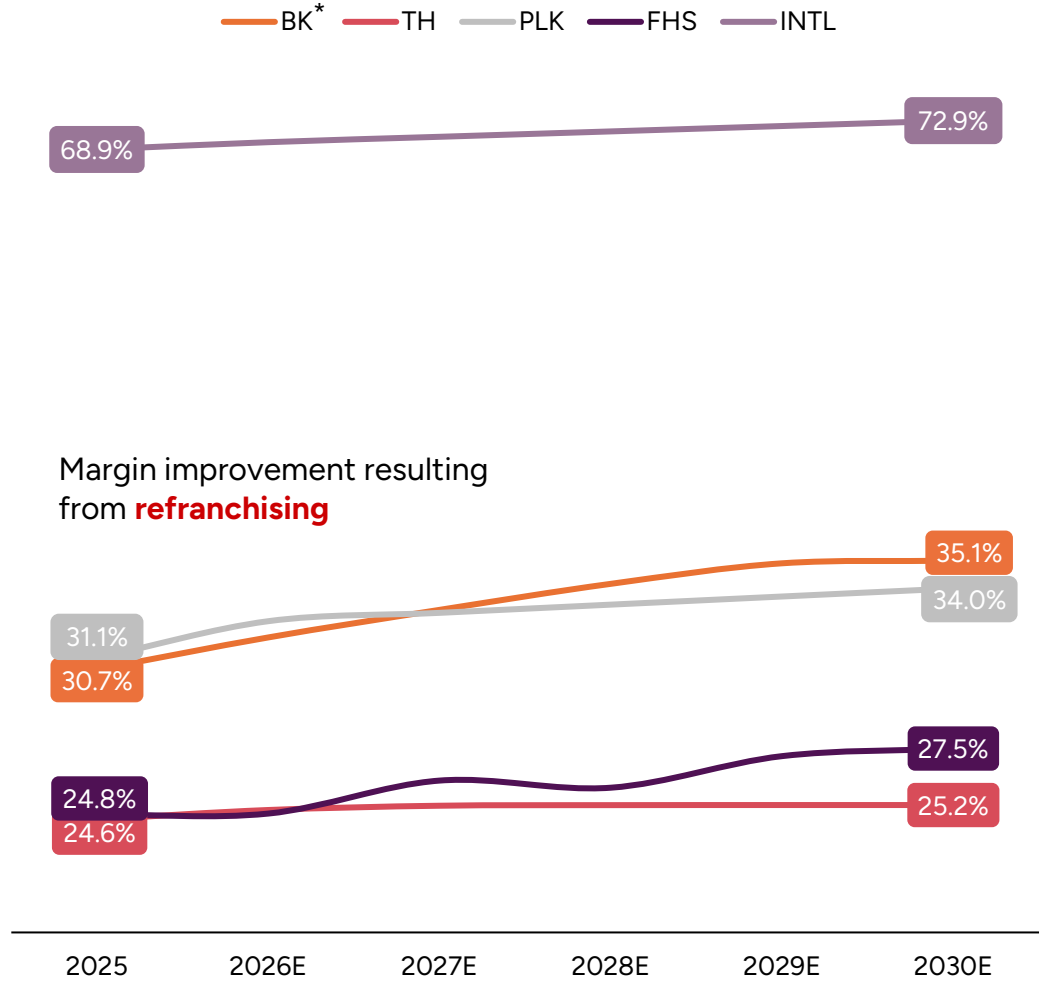
Sources: Team Elaboration

Margins and operating income evolution

Refranchising drives margin expansion in Burger King and Popeyes, while other segments remain stable

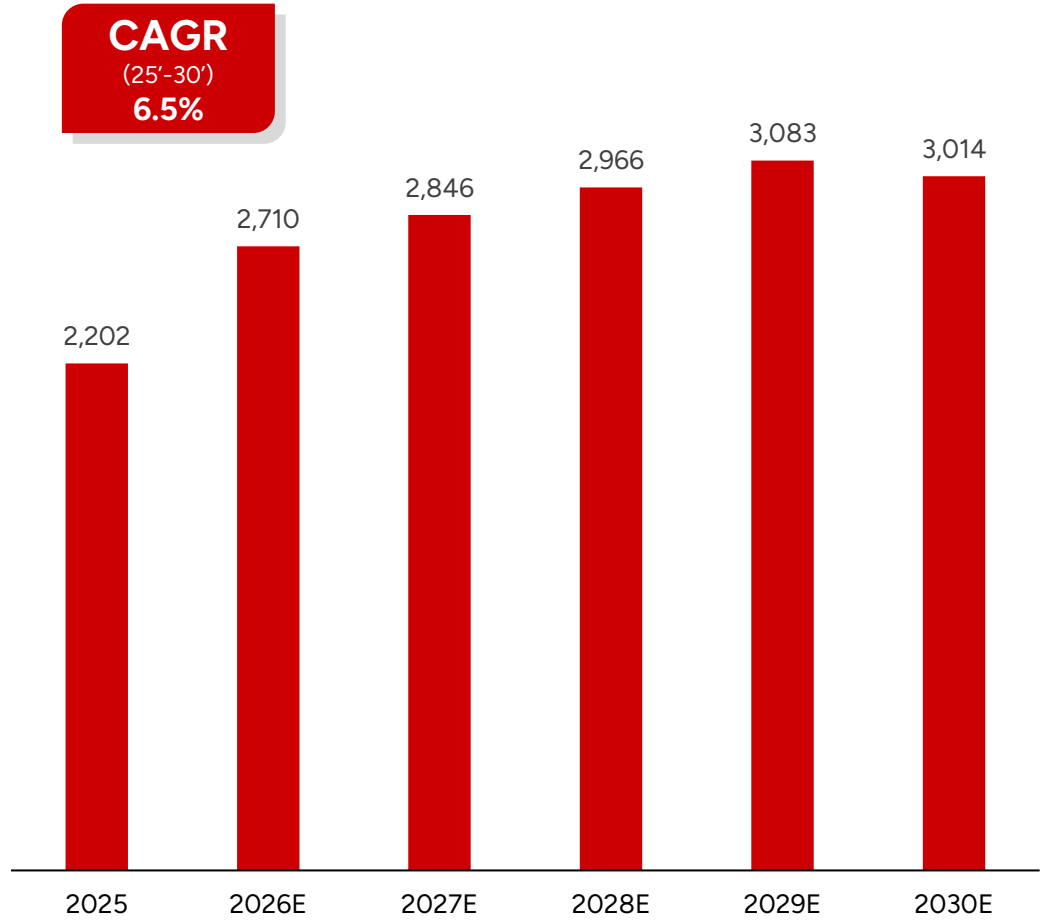
BK and Popeyes' costs return to their pre-acquisition levels

Operating margin by operation



Elevating margins and boosting group's EBIT generation

Operating income ($ mn)



* Considering intersegmental expenses with Restaurant Holdings

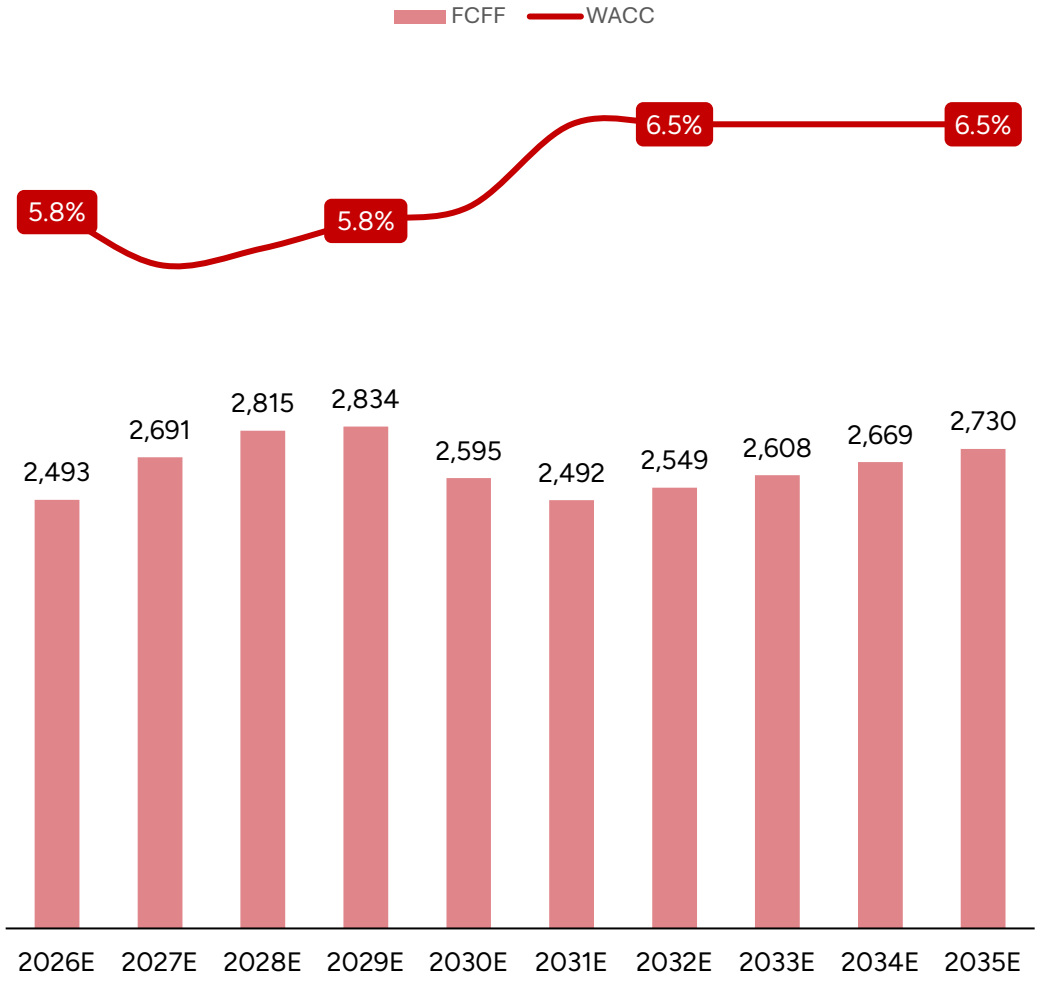
Sources: Company's filings, Team Elaboration

The outcome: **34.9% upside** in our DCF model

Projected FCFF discounted by a rolling WACC results in an estimated equity value of $31.0bn

Profit growth and refranchising drive higher cash flows

Projected free cash flow to firm ($ mn) and rolling WACC

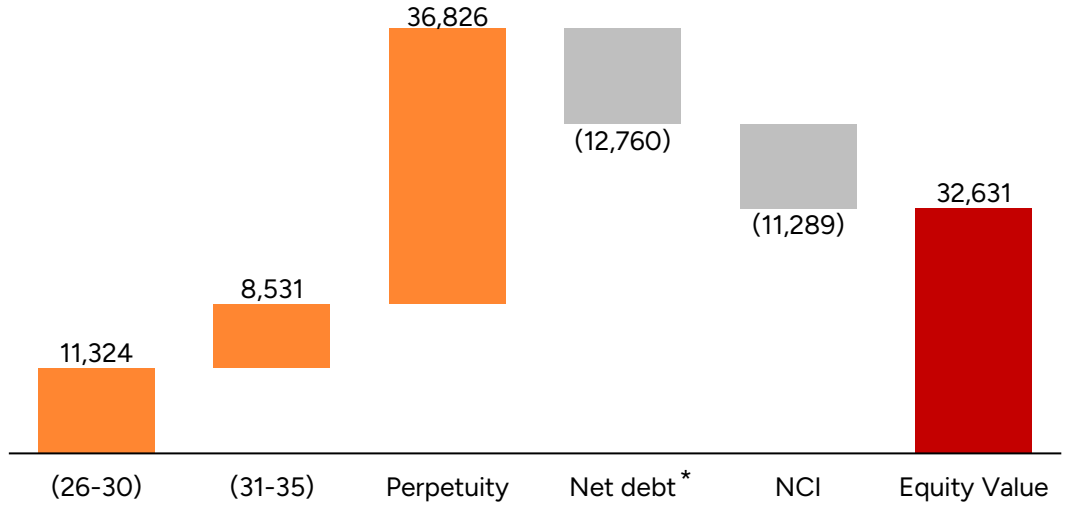


Validating a solid equity value and a good investment

Equity value breakdown ($ mn)

Valuation Build-up

Long term growth rate:	2.3%
Long term WACC:	6.5%
Target Price:	$99.5
Current Price:	$73.8
Upside:	**34.9%**



* Includes a $500 mn interest rate swap benefit

Sources: Team Elaboration

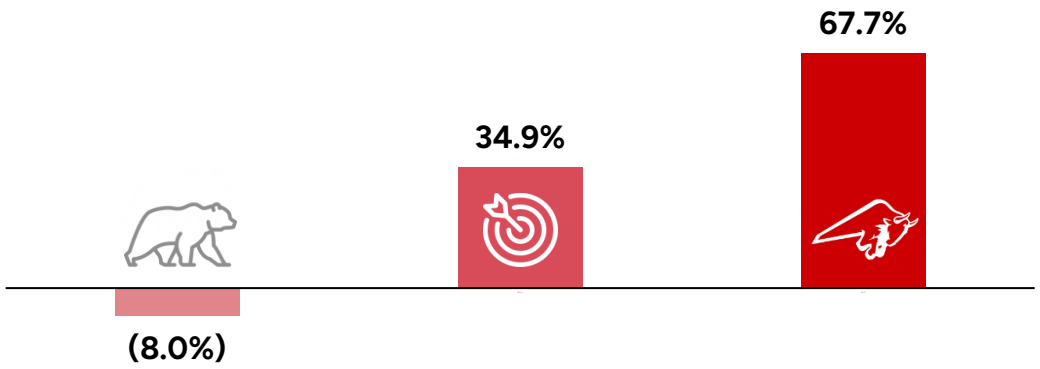
Scenario analysis shows **robust IRR** and a solid price

Cross-scenario stress tests reveal valuation resilience, reinforcing an attractive entry point and a margin of safety

Multi-scenario testing confirms valuation endurance

Upside scenario analysis

	Bear	Base	Bull
Comparable SSS	0.3%	2.7%	4.3%
Net Restaurant Growth	1.1%	4.3%	6.7%
Profit Margins	16.0%	20.0%	22.5%
Avg Capex (26'-30')	550mn	350mn	300mn



Delivering strong shareholder returns and wide IRR spreads

IRR build-up

EV/EBITDA multiple **17.9x** » Exit year projected ***2030***

14.1%

5-y Nominal IRR

The IRR exceeds the 7.1% Ke in almost all scenarios

IRR sensitivity analysis

EBITDA CAGR \ Exit EV/EBITDA Multiple	15.9x	16.9x	17.9x	18.9x	19.9x
3.3%	6.2%	8.5%	10.6%	12.6%	14.5%
4.3%	8.0%	10.3%	12.4%	14.3%	16.2%
5.3%	9.8%	12.0%	**14.1%**	16.0%	17.8%
6.3%	11.5%	13.7%	15.8%	17.7%	19.5%
7.3%	13.2%	15.4%	17.4%	19.3%	21.1%

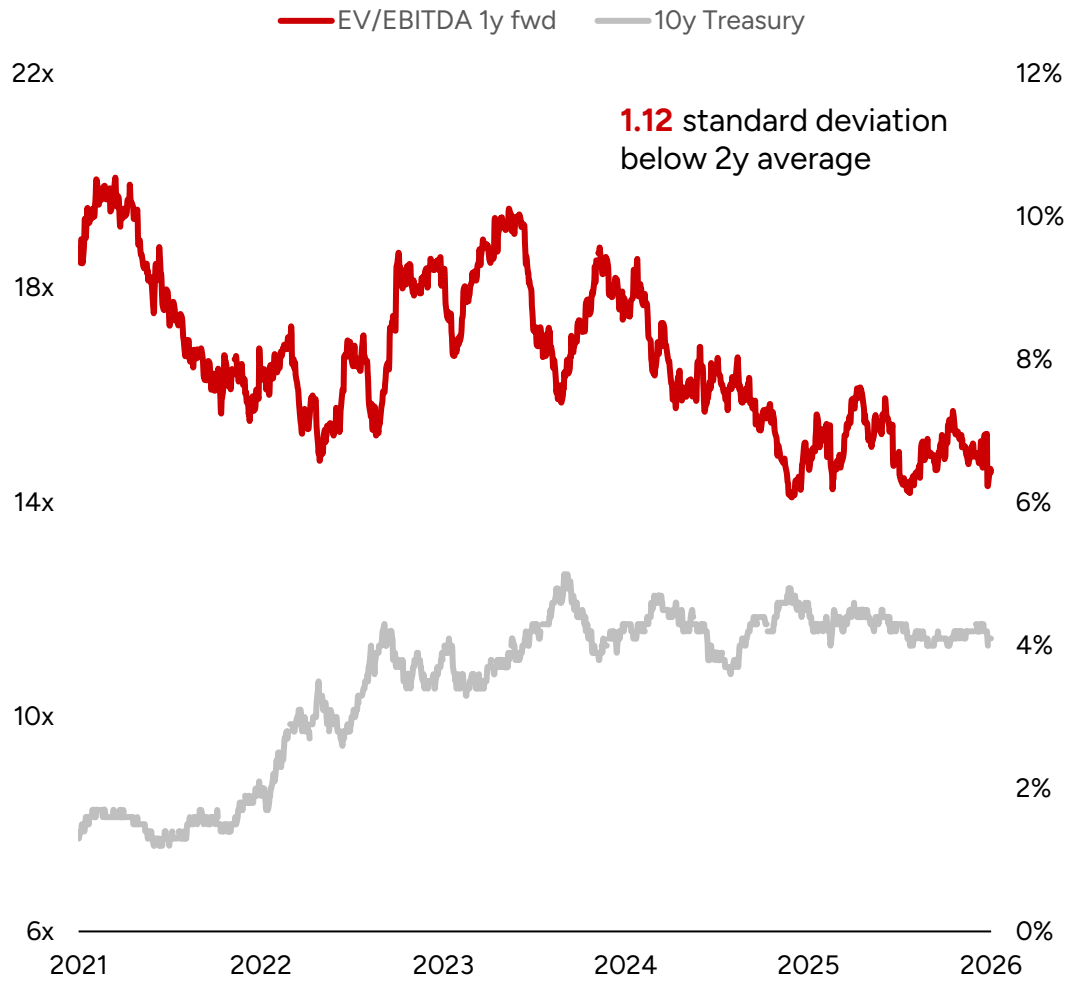
Sources: Team Elaboration

Relative valuation: Reinforcing our buy!

Valuation analysis highlights a compelling entry opportunity given the current discount

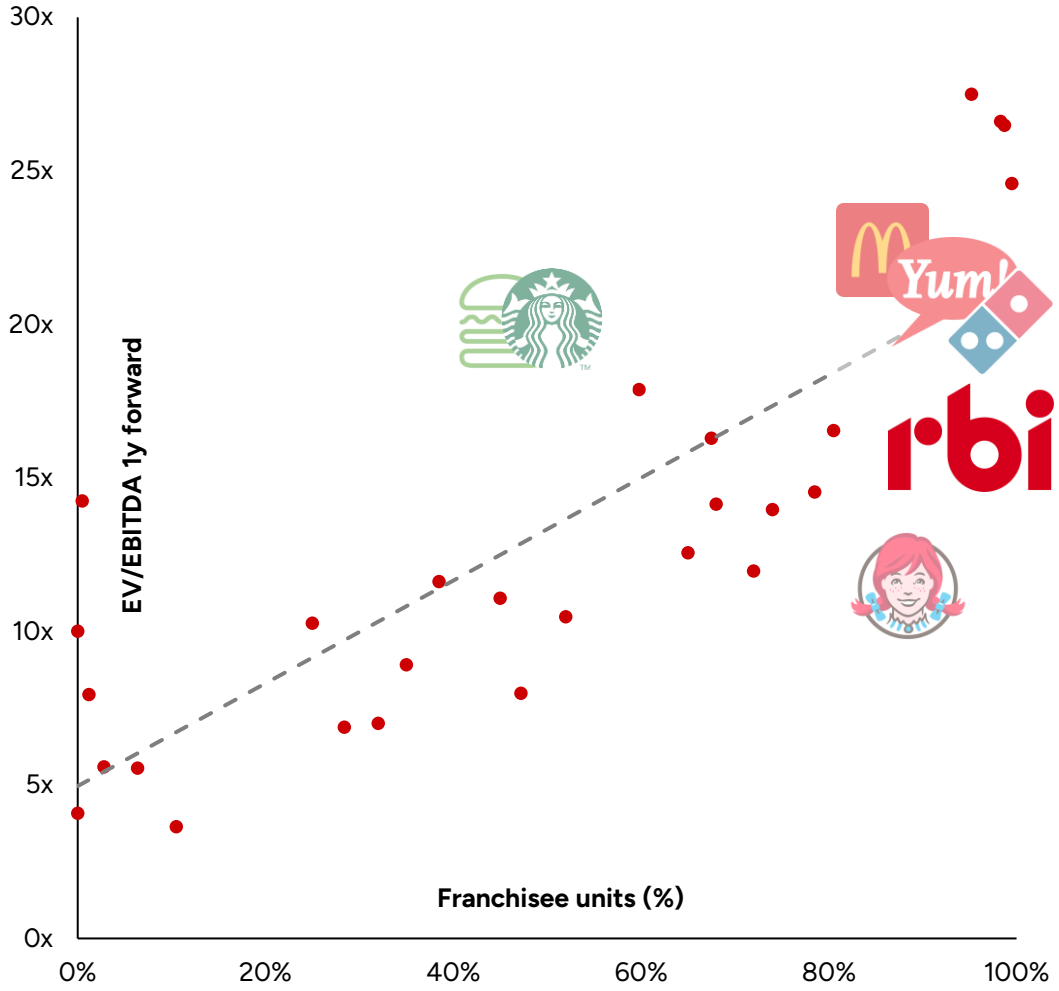
The current valuation presents an investment opportunity

EV/EBITDA 1y forward and US 10y treasury



Supported by an attractive discount compared to peers

EV/EBITDA 1y forward and franchisee base as percentage of stores

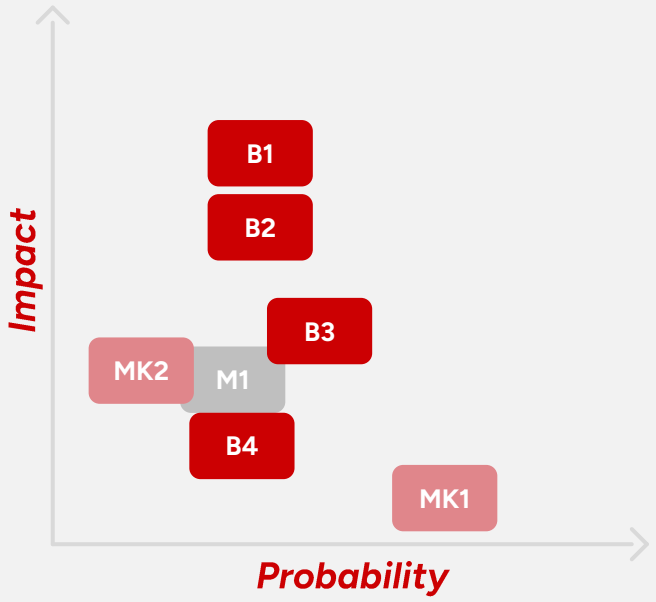


Sources: Company's filings, Bloomberg, Team Elaboration

The main **risks** for our thesis

The company's risks are closely linked to potential project failures and broader macro and industry trends

Risk Matrix



B: Business Risks
MK: Market Risks
M: Macroeconomic Risks

Disclaimer:The risks have been categorized according to their relevance, including both impact and probability

Risk	Description	Meaning	Impact*
B1	**Reclaim the Flame** Reclaim the Flame lacks clear milestones for BK turnaround	Delays BK recovery, FCF pressure from $450m F26 capex	(9.6%)
B2	**International Growth** International growth slows, especially in China/Europe	Limits royalty sales growth, dragging system sales	(8.4%)
B3	**Tim Hortons** Sales slowdown hampers the revenue growth trajectory	Cuts TH's 40% operating income share, straining royalties	(5.8%)
B4	**Capital Allocation** Deleveraging and share buyback allocation delays hinder investments	Restricts reinvestment in operations and reduces shareholder returns	(3.2%)
MK1	**Weight loss strike** Fit culture and GLP-1 weight loss drugs hit fast-food demand	Reduces TH traffic/comps, pressuring breakfast margins	(1.0%)
MK2	**Intense Competition** Rivals intensify the competition pressure in key markets	Squeezes BK/PLK margins via pricing wars, disruptions	(5.3%)
M1	**Products input price** Inflation on commodities prices and labor costs	Erodes profitability, challenging franchisee returns	(3.5%)

* Upside impact for each crystallized risk

Sources: Team Elaboration



BUY!

I A house of brands

Competitive advantages

- **The 3G way:** Asset-light platform that scales brands much like a publicly listed private equity firm
- **In-house developments:** The uniquely scalable, vertical model of Tim Hortons and the global brand power of Burger King
- All of the above contribute to meaningful **competitive advantages** that reinforce the company's earnings power moat

II Management

Mastering Franchises

- Management team that excels at **aligning incentives** within the franchising business model
- Resulting in **strong unit economics** that enabled the brands' expansion
- Amid challenging periods, management does not hesitate to **put skin in the game**, driving returns on invested capital

III Bright Future

Growth Avenues

- **Canada:** Strategy driving PM daypart traffic at Tim Hortons, with white space for unit expansion
- **United States:** New management improves Popeyes' outlook, while Firehouse shows high growth potential
- **Global:** Robust master franchising model supporting the company's Big Dream of building global restaurant brands

! *Risks to Consider*

- **Reclaim the Flame:** Reclaim the Flame lacks clear milestones for BK turnaround
- **Tim Hortons:** Sales slowdown hampers revenue growth trajectory
- **International Growth:** International growth slows, especially in China & Europe
- **Products input price:** Inflation in commodity prices and labor costs